

**SUPERIOR COURT, STATE OF CALIFORNIA  
COUNTY OF SANTA CLARA**

**Department 19, Honorable Theodore C. Zayner Presiding**

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**LAW AND MOTION TENTATIVE RULINGS**

**DATE: August 19, 2026                      TIME: 1:30 P.M.**  
**PREVAILING PARTY SHALL PREPARE THE ORDER**  
**UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

| <b>LINE #</b>                  | <b>CASE #</b> | <b>CASE TITLE</b>                                                                             | <b>RULING</b>                                                                             |
|--------------------------------|---------------|-----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| <a href="#"><u>LINE 1</u></a>  | 20CV371719    | Millan v. Bouton Construction, Inc.<br>(Class Action / PAGA)                                  | See <a href="#"><u>Line 1</u></a> for tentative ruling                                    |
| <a href="#"><u>LINE 2</u></a>  | 20CV374597    | Regional Medical Center of San Jose, et al. v. County of Santa Clara dba Valley Health Plan   | See <a href="#"><u>Line 2</u></a> for tentative ruling                                    |
| <a href="#"><u>LINE 3</u></a>  | 20CV374597    | Regional Medical Center of San Jose, et al. v. County of Santa Clara dba Valley Health Plan   | See <a href="#"><u>Line 2</u></a> for tentative ruling                                    |
| <a href="#"><u>LINE 4</u></a>  | 20CV374597    | Regional Medical Center of San Jose, et al. v. County of Santa Clara dba Valley Health Plan   | See <a href="#"><u>Line 2</u></a> for tentative ruling                                    |
| <a href="#"><u>LINE 5</u></a>  | 21CV383976    | Goodman v. Boba Guys, Inc. (Class Action)                                                     | See <a href="#"><u>Line 5</u></a> for tentative ruling                                    |
| <a href="#"><u>LINE 6</u></a>  | 23CV423933    | Running v. United Security Specialists, Inc. (Class Action / PAGA)                            | See <a href="#"><u>Line 6</u></a> for tentative ruling                                    |
| <a href="#"><u>LINE 7</u></a>  | 23CV427314    | Good Samaritan Hospital, L.P., et al. v. Kaiser Foundation Health Plan, Inc.                  | See <a href="#"><u>Line 7</u></a> for tentative ruling on motions to seal at Lines 7 – 20 |
| <a href="#"><u>LINE 21</u></a> | 24CV428938    | Essex Portfolio, L.P. vs F.D. Thomas, Inc. et al                                              | See <a href="#"><u>Line 21</u></a> for tentative ruling                                   |
| <a href="#"><u>LINE 22</u></a> | 24CV448267    | Raj Parihar vs MIPS Holding, Inc.                                                             | See <a href="#"><u>Line 22</u></a> for tentative ruling                                   |
| <a href="#"><u>LINE 23</u></a> | 24CV448267    | Raj Parihar vs MIPS Holding, Inc.                                                             | See <a href="#"><u>Line 23</u></a> for tentative ruling                                   |
| <a href="#"><u>LINE 24</u></a> | 25CV480101    | Isabella La Tour Vs SLT Lending Spv, Inc., a Delaware corporation et al (Class Action / PAGA) | See <a href="#"><u>Line 24</u></a> for tentative ruling                                   |
|                                |               |                                                                                               |                                                                                           |
|                                |               |                                                                                               |                                                                                           |

## **Calendar Line 1**

Case Name: *Millan v. Bouton Construction, Inc.*  
Case No.: 20CV371719

This is a putative class and representative action arising from alleged wage and hour violations. The parties have reached a settlement, and the Court has granted Plaintiff's motion for preliminary approval of the settlement. Before the Court is Plaintiff's unopposed motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for April 14, 2027, at 2:30 p.m. in Department 19.

### **I. Legal Standard**

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" the Private Attorneys General Act ("PAGA"). The trial court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

### **II. Terms and Administration of Settlement**

## A. Settlement Terms

This case has been settled on behalf of the following class:

All current and former hourly, non-exempt hourly employees employed by Defendant in California during [October 19, 2016, through October 27, 2025].

(Declaration of Anthony L. Draper in Support of Motion for Final Approval (“Draper Decl.”), Ex. 1 (“Agreement”), ¶¶ 1.5, 1.12; Order Re: Plaintiff’s Motion for Preliminary Approval, p. 14.) The settlement includes a subset PAGA group of Aggrieved Employees, defined as “all current and former non-exempt hourly employees employed by Defendant in California” during the PAGA Period [October 19, 2019, through October 27, 2025]. (Agreement, ¶ 1.4; Order Re: Plaintiff’s Motion for Preliminary Approval, p. 6.)

Defendant will pay a non-reversionary gross settlement amount of \$825,000, and this amount includes: attorney fees of up to 35 percent of the gross settlement amount (\$288,750); litigation costs not to exceed \$40,000; a PAGA penalties allocation of \$50,000 (75 percent of which (\$37,500) will be paid to the LWDA and 25 percent of which (\$12,500) will be distributed to Aggrieved Employees as Individual PAGA Payments); a service award of up to \$10,000 to Plaintiff; and settlement administration costs not to exceed \$8,000. (Motion, pp. 3–4; Agreement, ¶¶ 1.22, 3.2.1–3.2.5.) The net settlement amount will be distributed to Participating Class Members on a pro rata basis according to the number of workweeks they worked during the Class Period, and Individual PAGA Payments will be distributed according to the number of pay periods worked during the PAGA Period. (Agreement, ¶¶ 1.23, 1.24.) For tax purposes, Individual Class Payments are allocated 25 percent to wages and 75 percent to interest and penalties. (Agreement, ¶ 3.2.4.1.) The Agreement provides that Apex Class Action, LLC (“Apex”) will serve as settlement administrator. The Court approves and appoints Apex as settlement administrator. The Agreement further provides that funds associated with checks uncashed after 180 days will be transmitted to Legal Aid at Work as the *cy pres* recipient, consistent with Code of Civil Procedure section 384, subdivision (b). The Court approves the *cy pres* designation.

In exchange for the settlement, Participating Class Members will release “[a]ny and all claims, demands, causes of action, rights, liabilities, or damages of every kind and nature,

known or unknown, suspected or unsuspected, arising during the Class Period and relating to the allegations in the Action,” including all claims that were, or reasonably could have been, alleged based on the facts contained in the First Amended Complaint and all wage-and-hour or related statutory, regulatory, or common-law claims that could have been asserted based on those facts. Aggrieved Employees, who, consistent with the statute cannot opt out of the PAGA portion of the settlement, will release “[a]ll claims to recover civil penalties pursuant to the Private Attorneys General Act of 2004 (“PAGA”) for alleged violations of the California Labor Code during the PAGA Period that were alleged, or reasonably could have been alleged, in the PAGA Notice that Plaintiff submitted to the [LWDA] or in the First Amended Complaint filed in this Action.” As the Court found at preliminary approval, the release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537–538.)

#### **B. Administration of Settlement**

In its order granting Plaintiff’s motion for preliminary approval, the Court approved Apex as settlement administrator. On March 23, 2026, Defendant delivered class data to Apex for 246 individuals; after reviewing the data and removing five individuals who fell outside the Class Period, Apex arrived at a final Class List of 241 Class Members. (Declaration of Tarus Dancy on Behalf of Apex Class Action, LLC (“Dancy Decl.”) ¶ 6.) On April 13, 2026, after updating addresses through the National Change of Address database, Apex mailed the Class Notice in English and Spanish to all 241 individuals on the Class List. (*Id.* at ¶¶ 7–8 and Ex. A.) Thirty-four Class Notices were returned as undeliverable; Apex performed skip traces and re-mailed 19 notices, leaving 15 notices (approximately six percent of the Class) undeliverable. (*Id.* at ¶¶ 9–10.) The deadline to request exclusion, submit a written objection, or submit a workweek dispute was May 28, 2026, with an extended deadline of June 11, 2026 for Class Members who received a re-mailed notice. (*Id.* at ¶ 11.) As of the date of Mr. Dancy’s declaration, July 28, 2026, Apex had received zero requests for exclusion, zero objections, and zero workweek disputes, such that all 241 Class Members are Participating Class Members. (*Id.* at ¶¶ 11–15.) Apex estimates the average Individual Class Payment will be \$1,818.32 (with a high of \$6,919.37 and a low of \$8.38), and that the average Individual PAGA Payment to the

168 Aggrieved Employees will be \$74.40. (*Id.* at ¶¶ 17–19.) The notice process has now been completed.

The Court notes one discrepancy in the notice materials. The Class Notice mailed to Class Members states that the final approval hearing would take place on July 29, 2026, while the Court’s preliminary approval order set the final approval hearing for August 19, 2026. (Dancy Decl., Ex. A, pp. 1–2; Order Re: Plaintiff’s Motion for Preliminary Approval, p. 14.) Because no Class Member requested exclusion from or objected to the settlement, and because the Class Notice otherwise accurately advised Class Members of the settlement terms, their options, and the deadlines for exercising them, the discrepancy does not appear to have prejudiced the Class.

At preliminary approval, the Court found the settlement to be fair and reasonable. Given that there are no objections and no requests for exclusion, it finds no reason to deviate from that finding now. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval. The Court further finds that the \$50,000 PAGA allocation is genuine, meaningful, and reasonable in light of the statute’s purposes.

### **III. Service Award, Attorney Fees and Costs**

Plaintiff seeks a service award of \$10,000. Plaintiff has provided a declaration detailing his participation in this litigation—including approximately 40 to 45 hours spent assisting his attorneys, his agreement to a general release broader than the release given by Class Members, and the risks he undertook as the named plaintiff. (Declaration of Bladimir Lopez Millan, ¶¶ 3–9.) The Court finds that a service award is justified, and the amount requested is reasonable. The service award is approved in the amount requested.

Plaintiff’s counsel seeks an attorney fee award of \$288,750 (35 percent of the gross settlement amount, which is the maximum permitted by the Agreement). (Memorandum, pp. 11:4–20:25; Draper Decl., ¶¶ 13–23.) Plaintiff’s counsel represents that the lodestar for this action is \$296,600, based on 468 hours of attorney and paralegal time expended and estimated to be expended in finalizing this matter: 38 hours by Mr. Hawkins at \$1,050 per hour (\$39,900); 61 hours by Ms. Fernandez at \$950 per hour (\$57,950); 355 hours by Mr. Draper at \$550 per hour (\$195,250); and 14 hours by paralegal Ms. Whitson at \$250 per hour (\$3,500).

(Draper Decl., ¶ 22.) The requested fee is \$7,850 less than the claimed lodestar, resulting in a negative multiplier. The benefits achieved by the settlement justify an award of attorney fees to class counsel. The Court approves an attorney fee award in the requested amount.

Plaintiff's counsel requests reimbursement of litigation costs in the amount of \$30,543.74, which is less than the \$40,000 maximum set by the Agreement, and they provide an itemized billing report in support. (Memorandum, p. 21:1–15; Draper Decl., ¶ 24 and Ex. 2.) The Court approves reimbursement of litigation costs in the requested amount. Settlement administration costs are likewise approved in the requested amount of \$7,490, which is less than the \$8,000 maximum approved at preliminary approval. (Dancy Decl., ¶ 20.)

#### **IV. Conclusion**

The Court GRANTS the motion for final approval of the settlement and sets a compliance hearing for April 14, 2027, at 2:30 p.m. in Department 19.

Plaintiff shall prepare the order.

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## **Calendar Lines 2 – 4**

Case Name: *Regional Medical Center of San Jose et al. v. County of Santa Clara dba Valley Health Plan*

Case No.: 20CV374597

### **I. Introduction and Summary of Rulings**

In this quantum meruit action, plaintiffs Good Samaritan Hospital, L.P. and San Jose Healthcare System, L.P. (the “Hospitals”) seek the reasonable value of emergency and post-stabilization services rendered to members of the health plan operated by defendant County of Santa Clara, doing business as Valley Health Plan (the “County”). Approximately 13,189 claims are at issue; the sampling frame from which the Hospitals’ expert drew comprised 13,188. (Reiter Decl., Ex. E, ¶ 29 & fn. 12.) Three motions are before the Court, all brought by the County.

The first seeks to strike the opinions of Peter Dressel and limit those of Dr. Gregory Palega under Code of Civil Procedure section 2034.300, or, alternatively, leave to augment the County’s expert disclosure to add Dr. Paul Diver and Dr. David Schriger under sections 2034.610 and 2034.620. (County’s Memorandum of Points and Authorities in support of its Motion to Strike (“Mot.”), pp. 1-2, 8-12.) The second and third are motions to seal.

1. The motion to strike is GRANTED IN PART and DENIED IN PART. Mr. Dressel’s Opinion No. 1, directed at the County’s adjudication rules and payment framework, is stricken. The motion is otherwise denied as to Mr. Dressel, without prejudice to a timely motion in limine or motion under *Sargon Enterprises, Inc. v. University of Southern California* (2012) 55 Cal.4th 747.
2. The motion to limit Dr. Palega’s opinions is GRANTED as modified. No party or expert may offer opinion testimony extrapolating the results of Dr. Palega’s review to claims he did not review.
3. The alternative motion to augment is GRANTED IN PART, subject to the scope limitations and conditions in Part III.E.
4. The July 10, 2026 motion to seal is GRANTED IN PART and DENIED IN PART WITHOUT PREJUDICE.



5. The August 12, 2026 motion to seal is DENIED.

## **II. Background**

The parties exchanged expert disclosures under section 2034.260 on September 3, 2025, and supplemental disclosures under section 2034.280 on December 12, 2025. Dr. Palega was disclosed as having “expertise in auditing medical records to determine if emergency services were medically necessary,” and as expected to opine on whether services rendered to certain plan members “were medically necessary emergency care.” (Reiter Decl., Ex. A at p. 5, ¶¶ 6-7.) Mr. Dressel was disclosed as having “expertise and knowledge concerning data processing and analysis of voluminous records and medical files,” and as expected to opine “regarding whether the Hospitals’ claims coding and billing practices are reasonable and appropriate”—a description repeated verbatim in December. (*Id.*, Ex. A at p. 6, ¶¶ 12-13; Ex. B at p. 7.) The County designated three experts, all on reimbursement rates, and no physician. (*Id.*, Ex. I, J.)

Meanwhile, the Hospitals sought identification of the claims to which the County contended a claim-specific defense applied. (Forcini Decl., Ex. 1; Hospitals’ Opposition to Motion to Strike (“Opp.”) at pp. 7:21-8:15.) On December 30, 2025, the Court ordered code-compliant responses to Special Interrogatories Nos. 14 through 26 without objection except for privilege or protective order. (Dec. 30, 2025 Order at pp. 8:16-19.) The County’s supplemental responses identified “[e]very claim at issue in this litigation.” (Mar. 25, 2026 Minute Order re Sanctions at p. 2.) The Court denied the Hospitals’ ensuing sanctions motion for want of a demonstrated violation but added that the County’s “responses appear to the Court to skirt the intent of the order as it may be reasonably inferred,” and that the issue “can further [be] addressed, if necessary, at the time of trial.” (*Id.* at p. 3.) The denial was “without prejudice at this time.” (*Id.* at p. 4.)

Opening expert reports were exchanged on March 5, 2026. Mr. Dressel’s report disclosed for the first time that he had been asked to “design a statistically valid sampling methodology for purposes of analyzing the claims at issue,” and had used stratified random sampling to select 180 claims; it offers two opinions, addressed separately below. (Reiter Decl.,

Ex. E, ¶¶ 9, 18, 29-35.) Dr. Palega reviewed the medical records for 178 of the 180 sampled claims and opined on whether each patient received emergency services and care, when each was stabilized, and whether post-stabilization care was medically necessary. (*Id.* at Ex. F, ¶¶ 19-20.) Later that month, on the County’s ex parte application following the withdrawal of its trial counsel, the Court vacated the May 4, 2026 trial date and remaining pretrial deadlines, advising that the continuance would “not affect the prior discovery deadlines that have already passed. You don’t get a redo,” but that “the only exception to the otherwise close of discovery are those pending outstanding dates for expert rebuttal reports and expert discovery. Both shall remain open.” (Forcini Decl., Ex. 12 at p. 32:8-16.)

Present counsel appeared April 27, 2026, and trial was reset to January 19, 2027. The parties’ June 29, 2026 stipulated order set rebuttal reports for July 31, 2026, an expert discovery cutoff of September 18, 2026, and a December 1, 2026 deadline for motions in limine and Sargon motions. (June 29, 2026 Stipulated Order, ¶¶ 1-2, 4, 8.) The County sought the Hospitals’ stipulation to add Drs. Diver and Schriger on June 30; the Hospitals declined on July 9; and this motion followed the next day. (Reiter Decl., ¶¶ 7-8 & Ex. C, G-H.)

### **III. Motion to Strike or, in the Alternative, to Augment**

#### **A. Legal Standard**

Section 2034.260, subdivision (c) requires two distinct statements: a “brief narrative statement of the qualifications of each expert,” and a “brief narrative statement of the general substance of the testimony that the expert is expected to give.” (Subds. (c)(1), (c)(2); County’s Reply in support of its Motion to Strike (“Reply”), p. 4:11-15.) On objection by a party who has itself complied, the court “shall exclude from evidence the expert opinion of any witness” whose proponent “has unreasonably failed to” comply. (Code Civ. Proc., § 2034.300.) That reaches not only an omitted declaration but one that “fails to disclose the general substance of the testimony the party later wishes to elicit from the expert at trial”; a party wishing to go beyond the declaration “must successfully move for leave to amend.” (*Bonds v. Roy* (1999) 20 Cal.4th 140, 148-149; Mot., p. 9:6-8; Reply, pp. 1:19-23, 8:12-15.)

Disclosure is measured for generality, not particularity: testimony is adequately disclosed if within the “general ambit” of the declaration. (*Jones v. Moore* (2000) 80 Cal.App.4th 557, 566; Opp., pp. 12:24-13:7.) Exclusion also requires two findings, not one: noncompliance, and that the failure was *unreasonable*; the second finding turns on whether the party’s conduct “gives the appearance of gamesmanship” and compromises the purposes of the Discovery Act, including safeguarding against surprise. (*Du-All Safety, LLC v. Superior Court* (2019) 34 Cal.App.5th 485, 499; Opp., p. 14:11-16.)

**B. Mr. Dressel’s Opinion No. 1 Is Stricken**

The Hospitals disclosed that Mr. Dressel would opine “regarding whether the Hospitals’ claims coding and billing practices are reasonable and appropriate,” and repeated that description verbatim in December. (Reiter Decl., Ex. A at p. 6, ¶ 13; *Id.*, Ex. B at p. 7.) Opinion No. 1 is not that opinion. It is an opinion that the County’s “unilateral application of its internal adjudication rules and Medicare-based payment framework to out-of-network hospitals is inconsistent with established managed care industry customs.” (*Id.*, Ex. E, ¶ 18(a).) The disclosed subject is the conduct of the Hospitals; the opinion offered is directed at the conduct of the County. They are not the same subject matter, and the second is not within the “general ambit” of the first. The Hospitals do not contend otherwise; their argument addresses only Dr. Palega’s disclosure and whether the sample needed to be disclosed, and never mentions Opinion No. 1. (Opp., pp. 12:14-15:7.)

Nor is the deficiency cured by the reservation that Mr. Dressel “may testify on all other issues within his expertise that may be raised by the parties or their witnesses.” (Reiter Decl., Ex. A at p. 6, ¶ 14; relied on at Opp., p. 14:1-7.) That language appears verbatim in each of the Hospitals’ expert paragraphs. (*Id.* at ¶¶ 5, 8, 11, 14.) A reservation permitting testimony on any subject within an expert’s expertise discloses the general substance of nothing, and so reading subdivision (c)(2) would deprive it of content. (Reply, p. 4:15-20.)

The Court further finds the failure unreasonable. The Hospitals had a second opportunity at the December 12, 2025 exchange and instead repeated the earlier description word for word, so the County had no occasion to consider retaining a responsive expert on a

subject it was never told would be addressed. (Reiter Decl., Ex. B at p. 7.) Opinion No. 1, and the supporting discussion at paragraphs 19 through 28 of the report, are stricken. Mr. Dressel may not offer opinion testimony concerning the County’s adjudication rules, its payment methodology, or their consistency with managed care industry custom.

**C. Mr. Dressel’s Opinion No. 2 Is Not Stricken**

Opinion No. 2—that stratified random sampling provides a valid framework for auditing the disputed claims—presents a closer question, and the Court declines to strike it.

The County’s argument on the first prong has merit. The Hospitals rely on the description of Mr. Dressel’s expertise in “data processing and analysis of voluminous records and medical files,” arguing that his creation of a 180-claim sample falls within the “general ambit” of that disclosure. (Opp., p. 14:1-7.) But that language appears in the qualifications paragraph, which satisfies subdivision (c)(1); it does not discharge the separate obligation under subdivision (c)(2). Neither the Hospitals nor the Court identifies any opinion in the report addressing the reasonableness of the Hospitals’ own coding and billing practices, the only subject disclosed for him. (Reiter Decl., Ex. E, ¶ 18.)

The motion nonetheless fails on the second prong, for three reasons.

First, the sampling did not arise in a vacuum. The County resisted the Hospitals’ efforts to learn which claims it actually disputed, and after this Court ordered code-compliant responses it answered by identifying every claim in the litigation—responses this Court has already observed “appear . . . to skirt the intent of the order as it may be reasonably inferred.” (Mar. 25, 2026 Minute Order re Sanctions, pp. 2-3.) A party that reviews a sample in those circumstances is not engaged in the gamesmanship section 2034.300 addresses. (See Opp., pp. 14:26-15:7.)

Second, the posture was symmetrical: the Hospitals’ own verified interrogatory responses offered to meet and confer to narrow the County’s requests “to a reasonable subset of claims for which VHP identifies this issue.” (Suppl. Reiter Decl., Ex. 3 at p. 29:7-11; Reply, pp. 2:8-10, 5:3-4.) Each side asked the other to identify the disputed subset first, and neither position supplies a basis for mandatory exclusion.

Third, any surprise has been cured, and the harm the County identifies is met by a narrower order. The County has had the report since March 5, 2026, expert discovery runs to September 18, 2026, and the County has served two responsive reports addressing the sample. More to the point, it identifies no opinion that actually extrapolates from the sample, acknowledging that the Hospitals “cannot point to any HCA expert opinion attempting to extrapolate the sample.” (Reply, p. 4:4-6; Reiter Decl., Ex. G, § VII.C.) The harm it describes—extrapolation from 180 claims to the full population (Mot. at p. 8:18-20)—is met directly by the order in Part III.D.

The denial is without prejudice. The June 29, 2026 order sets a December 1, 2026 deadline for motions in limine and *Sargon* motions. (¶¶ 4, 8.) The County reserved its *Sargon* challenges (Mot., p. 1, fn. 1), and the Hospitals anticipate such a motion as to Dr. Schriger (Opp., p. 17, fn. 3). The admissibility and reliability of the sampling methodology are properly addressed on that schedule, after expert depositions and on a full record.

#### **D. Dr. Palega’s Opinions Are Limited**

The County does not challenge Dr. Palega’s disclosure; it seeks only an order confining his opinions to the claims he reviewed and precluding extrapolation. (Mot., p. 1, fn. 1, pp. 9:18-26, 12:6-9.) The Hospitals do not address the request, and the Court finds it well taken as a matter of trial management. (Reply, p. 4:3-6.) Dr. Palega performed no statistical analysis, offered no opinion on any claim he did not review, and did not opine that his conclusions may be projected to the balance of the claims. (Reiter Decl., Ex. F, ¶¶ 19-20; Ex. G, § VII.C.)

Nevertheless, the Court declines to enter the order as proposed. Dr. Palega reviewed 178 of the 180 sampled claims, two having been withdrawn after the sample was drawn (Reiter Decl., Ex. G, § VI.D; Reply, p. 5, fn. 1), so an order framed by a fixed number invites dispute. Furthermore, the Hospitals disclosed that Dr. Palega may offer rebuttal testimony responsive to the County’s experts (*Id.*, Ex. A at p. 5, ¶ 8), which, in light of Part III.E, he may need to do. The order is therefore:

No party may offer, and no expert may give, opinion testimony or argument extrapolating or projecting the conclusions of Dr. Palega’s review of the sampled claims

to any claim that Dr. Palega did not review, absent further order of the Court. Nothing in this order limits Dr. Palega's ability to offer testimony responsive to opinions offered by the County's experts.

**E. Alternative Motion to Augment**

*1. Legal standard*

A party may move to augment its expert witness list, sufficiently in advance of the discovery cutoff to permit the new expert's deposition within that limit. (Code Civ. Proc., § 2034.610, subds. (a)(1), (b).) Leave shall be granted if the court has taken into account the opposing party's reliance on the existing list, that party will not be prejudiced in maintaining its action or defense on the merits, and the moving party either would not in the exercise of reasonable diligence have determined to call the expert, or failed to designate through mistake, inadvertence, surprise, or excusable neglect and thereafter sought leave promptly and served the required information. (*Id.*, § 2034.620, subds. (a)-(c); Mot., pp. 10:5-11:17; Opp., p. 15:11-18.) Leave may be conditioned. (Code Civ. Proc., § 2034.610, subd. (d).)

*2. Reliance and prejudice*

The Hospitals do not argue prejudice; their opposition rests on subdivision (c) and on the scope of the two reports. (Opp., pp. 15:8-18:10.) The Court finds none. Both reports were served July 10, 2026; expert discovery runs to September 18, 2026; and the deadlines for witness lists, motions in limine, and the settlement conference are all still ahead. (June 29, 2026 Stipulation and Order, ¶¶ 2-6.) The Hospitals will have a full opportunity to depose both experts and, under the conditions below, to respond. Nor is there undue reliance. The Court's admonition that the continuance would not afford the County a "redo" (Forcini Decl., Ex. 12 at p. 32:8-11; Opp., pp. 5:5-7) was addressed to the fact discovery deadlines that had already passed; in the same ruling the Court held open "those pending outstanding dates for expert rebuttal reports and expert discovery." (*Id.*, p. 32:13-16; Reply, p. 9:7-10.) This motion is directed to the phase the Court preserved.

### 3. *Dr. Diver*

Leave is granted as to Dr. Diver. The County satisfies subdivision (c)(1). (Mot., pp. 10:1-9, 11:1-9.) Until March 5, 2026, nothing disclosed to the County indicated that any of the Hospitals' experts would design or rely upon a statistical sample. The Hospitals confirm the point: they say that when they served their disclosures "there was no reason to believe that a sample would be necessary," and that Dr. Palega was later "forced to rely on the audit sample created by Mr. Dressel." (Opp., pp. 5:15-20, 14:20-25.) A party that did not anticipate its own expert's sampling work cannot fairly charge its opponent with failing to predict it. (Reply, p. 9:14-19.)

The Hospitals object that the gravamen of the report is an attack on Dr. Fowdur, whose damages opinions were disclosed in September 2025. (Opp., pp. 17:21-18:10.) The objection has partial merit: Dr. Diver's assignment is framed as a statistical assessment of the Dressel and Palega reports "with respect to assumptions made in the damages estimation" in Dr. Fowdur's report, and Section VIII concludes that the damages assumption is "incorrect and overstated." (Reiter Decl., Ex. G, ¶ 2.) But Dr. Diver expressly "[s]ets aside" the problems he perceives in Dr. Fowdur's analysis and offers no critique of her economic model. (*Id.*, ¶ 13; Reply, p. 10:22-24.) The Court accommodates the objection by limitation rather than denial:

Dr. Diver may offer opinions concerning the design, execution, representativeness, precision, and coverage of the sample selected by Mr. Dressel; Dr. Palega's use of that sample; and whether the sample can support statistical inference or extrapolation to the population of claims in dispute, including the consequences of any deficiency in the sample for damages estimates that rest upon it. Dr. Diver may not offer opinions critiquing Dr. Fowdur's economic model, her fair market value methodology, or her damages calculation independent of the sampling issues identified above.

### 4. *Dr. Schriger*

Leave is granted as to Dr. Schriger, but on a narrower basis than the County requests. The County could not have anticipated the need for a physician to address the clinical

adequacy of a statistical sample it did not know would be created. Sections III through V of the report address that subject: why stabilization, authorization, medical necessity, and emergency status are patient-specific determinations requiring individualized record review, and why the variables on which Mr. Dressel stratified (i.e., aggregate billed charges and inpatient versus outpatient status) bear no clinical relationship to them. (Reiter Decl., Ex. H, §§ III-V, ¶¶ 11, 57-58, 63.) Those opinions respond directly to the undisclosed sampling work and are properly the subject of augmentation.

The balance is different in kind. In Section VI and paragraph 67, subdivisions (iv) through (vi), Dr. Schriger offers affirmative clinical opinions contradicting Dr. Palega on the sampled claims: different dates for the beginning of post-stabilization care in 59 claims; tests and treatments in 81 of the 178 claims that were not medically necessary or whose necessity is debatable; and 34 patients who should have been discharged or observed rather than admitted. (Reiter Decl., Ex. H, ¶ 67(iv)-(vi) & Appen. C.) Those are opinions on the medical necessity of the care the Hospitals provided. The County's own moving papers describe Dr. Schriger as concluding "that Dr. Palega's review is flawed and incomplete even as to the sampled records" (Mot., p. 8:6-9), and the County concedes that Dr. Palega's disclosure of that subject was adequate (Mot., p. 1, fn. 1; Reply, pp. 3:27-4:3).

The County cannot satisfy subdivision (c) as to those opinions. The September 3, 2025 disclosure stated in its opening line that Dr. Palega "has expertise in auditing medical records to determine if emergency services were medically necessary," and that he would opine on whether services "were medically necessary emergency care" and whether "claim denials by VHP were medically justified." (Reiter Decl., Ex. A at p. 5, ¶¶ 6-7.) A party intending to contest medical necessity through its own expert would have designated a physician in response. The County designated none, in September and again in December, and offers no explanation beyond its later change of counsel. (*Id.*, Ex. I, J; Opp., pp. 16:1-22.) A change in litigation strategy is not mistake, inadvertence, surprise, or excusable neglect, and the absence of a rebuttal physician cannot be attributed to a lack of notice about a disclosed subject. That the County did not know medical records would be reviewed does not alter the analysis (see



Reply, pp. 10:5-10); the foreseeable subject of rebuttal was medical necessity, not the evidentiary route to it. Leave is therefore granted subject to the following limitation:

Dr. Schriger may offer opinions concerning (a) whether stabilization, authorization, medical necessity, and emergency status can be determined without individualized review of patient medical records; (b) whether the sample designed by Mr. Dressel, and the variables on which it was stratified, can support clinical conclusions about the population of claims in dispute; and (c) what Dr. Palega's report does and does not establish, including the questions on which he expresses no opinion. Dr. Schriger may not offer affirmative clinical opinions that particular sampled patients were stabilized at times other than those identified by Dr. Palega, that particular services rendered to sampled patients were not medically necessary, or that particular patients should not have been admitted. Paragraph 67, subdivisions (iv) through (vi), and the corresponding portions of Appendix C, are excluded on that basis.

Because Dr. Schriger's critique of the sample draws in part on his review of individual records, this line will require attention at trial. The limitation runs to the opinions he may offer, not to the materials he reviewed in forming them.

##### *5. Conditions*

Leave is conditioned on the following. (Code Civ. Proc., § 2034.620, subd. (d).)

1. The County shall serve, within five court days, all information required by section 2034.260, subdivision (c) for each expert, together with all materials each considered, to the extent not already served.
2. The County shall serve conforming versions of both reports, redacted to remove the opinions excluded by this order, within ten court days.
3. The County shall produce Dr. Diver and Dr. Schriger for deposition on dates certain, to be set at the hearing.
4. The Hospitals may serve expert reports responsive to the opinions permitted by this order on or before a date to be set at the hearing, and may take any deposition made necessary by this order after the September 18, 2026 cutoff.

5. The expert discovery cutoff is extended to a date to be set at the hearing for the limited purpose of the discovery permitted by this order. All other dates in the June 29, 2026 order remain unchanged.
6. Neither expert may offer opinions at trial beyond those in the conforming reports served under paragraph 2.

Nothing in this order limits the Hospitals' right to challenge either expert by motion in limine or under Sargon on the schedule set by the June 29, 2026 order. (¶¶ 4, 7-8.)

#### 6. *Sanctions*

Section 2034.630 requires a monetary sanction against a party that unsuccessfully opposes a motion to augment unless the court finds substantial justification. The Court so finds: the Hospitals' objections to the scope of both reports (Opp., pp. 15:19-18:10) were substantially justified and have been sustained in part. No sanctions are imposed.

### **IV. The July 10, 2026 Motion to Seal**

The County moves to seal, in their entirety, Exhibits E through H to the Reiter Declaration: the reports of Mr. Dressel (E), Dr. Palega (F), Dr. Diver (G), and Dr. Schriger (H). (July 10, 2026 Mot. to Seal, pp. 1:11-19, 3:3-12; Marsh Decl., ¶¶ 3-4.) The motion is unopposed.

#### **A. Legal Standard**

Court records are presumed open, and a record may be sealed only on express findings that an overriding interest exists that overcomes the right of public access; that it supports sealing; that a substantial probability exists that it will be prejudiced absent sealing; that the sealing is narrowly tailored; and that no less restrictive means exist. (Cal. Rules of Court, rule 2.550(c), (d); Mot. to Seal, p. 3:14-20.) The order must state the supporting facts and seal only the documents, pages, or portions that need protection; all else remains public. (Id., rule 2.550(e)(1).) Privacy interests in medical and financial information may qualify (*In re*

*Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3), and medical records are presumptively private (*Oiye v. Fox* (2012) 211 Cal.App.4th 1036, 1068-1070 (*Oiye*)).

A protective order designation is not itself a basis for sealing. The parties' Stipulated Confidentiality Order says so: it "creates no right to file Protected Material under seal without complying with California Rules of Court, Rules 2.550 et seq.," and requires that a supporting declaration state the basis for sealing with "sufficient particularity" to permit the rule 2.550(d) findings "without being required to review each item of Protected Material." (Stip. Protective Order [May 1, 2025], ¶¶ 21-22.) The Court notes, without deciding, that rule 2.550 does not by its terms apply to "discovery motions and records filed or lodged in connection with discovery motions or proceedings," and that the motion to strike arises under the Civil Discovery Act. (Cal. Rules of Court, rule 2.550(a)(3).) Because the parties brief the motions under rule 2.550, because the Stipulated Confidentiality Order requires compliance with it, and because the reports may be offered in connection with matters other than discovery motions, the Court applies rule 2.550(d).

#### **B. Exhibit F and Appendix C to Exhibit H Are Sealed**

Exhibit F is Dr. Palega's report: an individualized review of the medical records of 178 nonparty patients discussing, patient by patient, their presenting conditions, diagnoses, course of treatment, and timing of stabilization. (Marsh Decl., ¶ 4; Mot. to Seal, pp. 3:22-27.)

Appendix C to Dr. Schriger's report is a claim-by-claim inventory of the same patients. The Court finds: (1) those nonparty patients have an overriding privacy interest in their medical information, arising under article I, section 1 of the California Constitution and recognized in *Oiye, supra*, 211 Cal.App.4th at pages 1068 through 1070, that overcomes the right of public access; (2) the interest supports sealing; (3) a substantial probability exists that it will be prejudiced absent sealing, because public filing would disclose the medical histories of identifiable nonparties and could not be undone; (4) the sealing is narrowly tailored, because the confidential medical information is the substance of these materials rather than discrete passages within them; and (5) no less restrictive means exists, because redaction sufficient to

protect the patients would remove essentially all of the content. Exhibit F and Appendix C to Exhibit H are sealed in their entirety.

### **C. Exhibits E and G, and the Balance of Exhibit H**

As to the remaining materials, the motion does not support the required findings. The supporting declaration states that the confidential information “is not confined to discrete portions of the Expert Reports but pervades them.” (Marsh Decl., ¶ 5.) Having reviewed the lodged materials, the Court cannot so find. Exhibit E, Mr. Dressel’s report, is eight pages of text followed by a curriculum vitae, a materials list, and exhibits. The body identifies no patient. It reports aggregate figures (13,188 claims, billed charges of approximately \$571,480,917, and a six-cell stratification table) and cites public federal audit and CMS sources. (Reiter Decl., Ex. E, ¶¶ 29-35 & fns. 12-19.) Its single reference to an individual patient, in footnote 12, already appears redacted, and the patient-level material is in Exhibit 3 to the report rather than the report itself. (*Id.* at ¶ 33.) Exhibit G is a statistical analysis of sampling objectives, precision, bias, and coverage; Exhibit H, apart from Appendix C, is largely clinical methodology, academic literature, and the categories of information required to assess stabilization, authorization, and medical necessity. (*Id.* at Ex. G, §§ IV, VI-VII; Ex. H, §§ III-V.)

Figures of that kind are in any event already public, appearing in the parties’ publicly filed briefs and this Court’s prior orders. (E.g., Mot., pp. 1:6-8, 8:18-20; Opp., p. 13:13-15.) Rule 2.550(d)(3) is not satisfied as to information already public. Nor does the record support the asserted business-confidentiality interest as to Exhibits E and F, which are the Hospitals’ reports, designated by the Hospitals. The only declaration is from counsel for the County, who is not positioned to establish the competitive sensitivity of the Hospitals’ information or the harm disclosure would cause (Marsh Decl., ¶¶ 1, 4, 7), and the Hospitals have neither joined the motion nor filed a declaration. The Court’s April 23, 2026 order granting an unopposed sealing motion does not compel a different result; that motion concerned a single spreadsheet exhibit, while this one seeks to seal four expert reports running to hundreds of pages. (Apr. 23, 2026 Order, pp. 2-4.)

The motion is denied without prejudice as to Exhibits E and G and as to Exhibit H other than Appendix C. Because denial would affect materials designated by the Hospitals, who have not been heard, the Court will not direct that they be placed in the public file at this time. Instead, on or before August 26, 2026:

1. Any party may file a renewed motion to seal as to Exhibits E and G and the body of Exhibit H, supported by a declaration from the designating party and accompanied by proposed redacted versions identifying the specific passages for which sealing is sought. (See Stip. Protective Order, ¶ 21.) The motion shall also address whether patient identifiers can be replaced with sequential pseudonyms, and whether Exhibit 3 to Mr. Dressel's report may be sealed separately from the report.
2. If no renewed motion is filed by that date, the lodged records shall be handled in accordance with rule 2.551(b)(6).

#### **V. The August 12, 2026 Motion to Seal**

On August 6, 2026, the Hospitals lodged conditionally under seal, under rule 2.551(b)(3), Exhibits 4, 5, 6, and 8 to the Forcini Declaration and portions of their opposition brief, all designated confidential by the County, stating that they did not intend to move to seal. (Aug. 6, 2026 Notice of Lodging at p. 2.) On August 12, the County filed this timely motion, seeking to seal specified portions of its Reply and of the Opposition that quote or summarize the Diver and Schriger reports. (Aug. 12, 2026 Mot. to Seal, pp. 1:11-22, 4:28-5:2; Givertz Decl., ¶¶ 3-4.)

The County has narrowed its request considerably: unlike the July 10 motion, this one identifies specific lines and is accompanied by a declaration itemizing them. (Givertz Decl., ¶ 4.) Even so, the motion does not satisfy rule 2.550(d). Based on the Court's review, the passages contain no patient identifier, no diagnosis, no course of treatment, no stabilization time, and no claims-level billed charge or reimbursement figure. They consist of the experts' descriptions of their own assignments, general propositions of methodology, and attorney argument:

- The Reply passages quote Dr. Schriger’s statement that stabilization, authorization, medical necessity, and emergency status “are inherently patient-specific inquiries that generally cannot be determined for a given patient without, at a minimum, a patient-specific, comprehensive review of the medical records,” and Dr. Diver’s descriptions of his assignment and of the derivation of Dr. Fowdur’s estimate, without figures. (Reiter Decl., Ex. H, ¶ 11; Ex. G, ¶¶ 2, 13.) These are propositions about no patient in particular, and the first appears in substance in the County’s publicly filed moving papers. (Mot., pp. 7:25-8:6.)
- The Opposition passages at page 15, lines 20-21 and page 17, lines 23-24 describe Dr. Schriger’s role and argue that he is an emergency physician rather than a statistician; page 18, lines 1-8 quote the same Diver paragraph. That is argument, not protected material.
- The Opposition passage at page 16, line 24 through page 17, line 7 quotes and discusses the County’s own motion to strike. (Opp., pp. 16:23-17:4, quoting Mot., pp. 7-8.) The County represents that it does not seek to seal that motion. (July 10, 2026 Mot. to Seal, p. 4:21-24.) A party cannot establish a substantial probability of prejudice from the public filing of material it has itself placed in the public file.

The overriding interest the County asserts—the privacy of nonparty patients (Mot. to Seal, pp. 3:22-4:3)—is substantial, and the Court has given it effect in Part IV.B by sealing the materials that actually contain patient information. It is not implicated by counsel’s characterizations of what those materials say. Narrow tailoring under rule 2.550(d)(4) and (e)(1) requires that a seal reach the protected material and stop there. Sealing argument about a sealed document, where the argument itself discloses nothing protected, extends the seal past its justification. The motion is denied, and the identified portions of the Reply and Opposition shall be placed in the public file.

The County does not seek to seal Exhibits 4, 5, 6, and 8 to the Forcini Declaration or the portions of the Opposition at page 9, lines 23 through 26, and page 10, lines 14 through 16. (Mot. to Seal, pp. 1:18-22.) Under rule 2.551(b)(3)(A)(iii), those materials shall be placed in

the public court file. Exhibits 4 and 5 are the County's supplemental interrogatory responses, substantial portions of which this Court has already quoted in its publicly filed orders.

Finally, the County lodged with its Reply excerpts of the Berryhill and Atkinson deposition transcripts as Exhibits 1 and 2 to the Supplemental Reiter Declaration. (Aug. 12, 2026 Notice of Lodging, p. 1; Suppl. Reiter Decl., ¶¶ 3-4.) Neither the motion nor the Givertz declaration requests sealing of those exhibits, and the Court does not order them sealed. They appear to have been designated by the Hospitals, who under paragraph 20(b) of the Stipulated Confidentiality Order may move to seal within ten business days after lodging; any such motion shall be filed on or before August 26, 2026. If none is filed, the exhibits shall be handled under rule 2.551(b)(6).

## **VI. Conclusion**

1. The motion to strike Mr. Dressel's opinions is GRANTED as to Opinion No. 1 and the supporting discussion at paragraphs 19 through 28 of his report and is otherwise DENIED without prejudice to a timely motion in limine or Sargon motion.
2. The motion to limit Dr. Palega's opinions is GRANTED as modified in Part III.D.
3. The alternative motion to augment is GRANTED as to Drs. Diver and Schriger, subject to the scope limitations in Parts III.E.3 and III.E.4 and the conditions in Part III.E.5. No sanctions are imposed under section 2034.630.
4. The July 10, 2026 motion to seal is GRANTED as to Reiter Declaration Exhibit F and Appendix C to Exhibit H, and DENIED WITHOUT PREJUDICE as to Exhibits E and G and the balance of Exhibit H, on the terms in Part IV.C.
5. The August 12, 2026 motion to seal is DENIED. The materials the County does not seek to seal shall be placed in the public file under rule 2.551(b)(3)(A)(iii).

The Court will prepare the order.

### **Calendar Line 3**

Case Name:

Case No.:

**- oo0oo -**



#### **Calendar Line 4**

Case Name:

Case No.:

## Calendar Line 5

Case Name: *Goodman v. Boba Guys, Inc.*  
Case No.: 21CV383976

This action was filed on July 2, 2021, and N. William Metke of The Mitzel Group LLP (“Counsel”) is counsel of record for defendant The Boba Guys, Inc. (“Defendant”). Counsel has filed a motion to be relieved as counsel for Defendant under Code of Civil Procedure section 284(2). The motion is unopposed. As discussed below, the Court GRANTS the motion.

### I. Legal Standard

Motions to be relieved as counsel are technical and governed by rule 3.1362 of California Rules of Court (“Rule 3.1362”). Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (Rule 3.1362(a) & (b).) Counsel must provide a declaration on Judicial Council Form MC-052 stating “in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1).” (Rule 3.1362(c).)

The notice of motion and motion, the declaration, and the proposed order must be served on the client and all parties “by personal service, electronic service, or mail.” (Rule 3.1362(d)). Rule 3.1362(d) sets forth the service requirements, as follows:

If the notice is served on the client by mail under Code of Civil Procedure section 1013, it must be accompanied by a declaration stating facts showing that either:

(A) The service address is the current residence or business address of the client;  
or

(B) The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.

(Rule 3.1362(d).)

The proposed order relieving counsel must be prepared on the Order Granting Attorney’s Motion to Be Relieved as Counsel—Civil (form MC-053) and must be lodged with the court with the moving papers. The order must specify all hearing dates scheduled in the action or proceeding, including the date of trial, if known. If no hearing date is presently scheduled, the court may set one and

specify the date in the order. After the order is signed, a copy of the signed order must be served on the client and on all parties that have appeared in the case. The court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court.

(Rule 3.1362(e).)

## **II. Discussion**

Counsel attests that withdrawal is required or permitted by rule 1.16(b) of the California Rules of Professional Conduct because Defendant's conduct has rendered it unreasonably difficult for Counsel to carry out the representation effectively. (Counsel's Declaration, MC-052, ¶ 2.) Counsel also states that Defendant has breached a material term of an agreement relating to the representation and has failed to cure that breach after a reasonable warning that this motion would follow. That is a sufficient statement of reasons "in general terms and without compromising the confidentiality of the attorney-client relationship." (Rule 3.1362(c).)

Counsel further attests that Defendant was served by mail at its last known address with copies of the motion papers, and that Counsel confirmed within the past 30 days that the address is current by other means—namely, by confirmed FedEx delivery and email. (MC-052, ¶ 3.a(2), 3.b(1)(d).) The proof of service filed June 4, 2026 reflects that the moving papers were served on Defendant at 245 Visitacion Avenue, Brisbane, CA 94005 by mail, by FedEx overnight delivery, and by email, and on counsel for plaintiff by email. The service requirements of Rule 3.1362(d) are therefore satisfied.

Counsel has also used the required Judicial Council forms: the notice of motion and motion on form MC-051, the supporting declaration on form MC-052, and the proposed order on form MC-053, lodged with the moving papers. (Rule 3.1362(a)-(c) & (e).) The proposed order identifies the next scheduled hearing in this action—a final approval currently hearing set for September 9, 2026 at 1:30 p.m. in Department 5. (MC-053, item 7.) No trial date is presently set. (MC-053, item 9.a.) As addressed below, the location of the final approval hearing must be revised by counsel to Department 8.

The Court finds that Counsel has served Defendant by mail, submitted a declaration establishing that the requirements of Rule 3.1362 have been satisfied, shown sufficient reason

why the motion to be relieved as counsel should be granted, and shown why Counsel brought the instant motion under Code of Civil Procedure section 284(2) instead of filing a consent under section 284(1).

Accordingly, the motion is GRANTED. Consistent with item 5.a of the proposed order, Counsel is relieved as counsel of record for Defendant effective upon the filing of the proof of service of the signed order upon Defendant. (Rule 3.1362(e).)

### **III. Conclusion**

The motion of N. William Metke of The Mitzel Group LLP to be relieved as counsel of record for defendant The Boba Guys, Inc. is GRANTED. Counsel is relieved effective upon the filing of the proof of service of the signed order upon Defendant. Counsel shall serve a copy of the signed order on Defendant and on all parties that have appeared in this action and shall file the proof of service of the signed order. (Rule 3.1362(e).) The final approval hearing remains set for September 9, 2026 at 1:30 p.m. in Department 8. The Proposed Order shall be promptly revised by counsel to revise the September 9 hearing location to Department 8.

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## Calendar Line 6

Case Name: *Running v. United Security Specialists, Inc.*  
Case No.: 23CV423933

This is a putative class and representative wage-and-hour action brought by plaintiff Tim Running (“Plaintiff”) against defendant United Security Specialists, Inc. (“USS”). According to the parties’ Joint Case Management Conference Statement filed January 7, 2026, Plaintiff’s individual claims have been submitted to arbitration and his claims under the Private Attorneys General Act are stayed pending completion of that arbitration. Counsel of record for USS, Courtney C. Wenrick of Womble Bond Dickinson (US) LLP (“Counsel”), has filed a motion to be relieved as counsel. No opposition has been filed. As discussed below, the Court GRANTS the motion.

### I. Legal Standard

Motions to be relieved as counsel are technical and governed by rule 3.1362 of California Rules of Court (“Rule 3.1362”). Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (Rule 3.1362(a) & (b).) Counsel must provide a declaration on Judicial Council Form MC-052 stating “in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1).”<sup>1</sup> (Rule 3.1362(c).)

The notice of motion and motion, the declaration, and the proposed order must be served on the client and all parties “by personal service, electronic service, or mail.” (Rule 3.1362(d)). Rule 3.1362(d) sets forth the service requirements, as follows:

If the notice is served on the client by mail under Code of Civil Procedure section 1013, it must be accompanied by a declaration stating facts showing that either:

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<sup>1</sup> Code of Civil Procedure section 284 provides, “The attorney in an action or special proceeding may be changed at any time before or after judgment of final determination, as follows: [¶] 1. Upon the consent of both client and attorney, filed with the clerk, or entered upon the minutes; [¶] 2. Upon the order of the court, upon the application of either client or attorney, after notice one to the other.”

- (A) The service address is the current residence or business address of the client;  
or  
(B) The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.

(Rule 3.1362(d).)

The proposed order relieving counsel must be prepared on the Order Granting Attorney's Motion to Be Relieved as Counsel—Civil (form MC-053) and must be lodged with the court with the moving papers. The order must specify all hearing dates scheduled in the action or proceeding, including the date of trial, if known. If no hearing date is presently scheduled, the court may set one and specify the date in the order. After the order is signed, a copy of the signed order must be served on the client and on all parties that have appeared in the case. The court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court.

(Rule 3.1362(e).)

## **II. Discussion**

Counsel attests that on January 27, 2026, Kyle Madej, Counsel's primary contact for USS, informed Counsel that USS had gone out of business, and that on February 25, 2026, Mr. Madej confirmed USS was out of business with no revenue and no employees. Counsel further attests that USS is in breach of the parties' engagement agreement and will not be able to remedy those breaches, and that USS is no longer able to actively participate in this litigation, making it unreasonably difficult for Counsel to carry out the representation effectively. Counsel has forwarded all pending dates in this matter to Counsel's contacts at USS. (Counsel's Declaration, MC-052, ¶ 2.)

Counsel attests that Counsel served USS by mail at the client's last known address with copies of the motion papers, and that Counsel confirmed by conversation within the past 30 days that the address is current. (*Id.* at ¶ 3(a)(2), (b)(1)(c).) The proof of service reflects that the motion, the supporting declaration, and the proposed order were served on the client by mail and by electronic mail on March 12, 2026, and served on Plaintiff's counsel by the same means. Counsel has provided the motion, the supporting declaration, and the proposed order on the appropriate Judicial Council forms (MC-051, MC-052, and MC-053).

The Court finds that Counsel has served the client by mail, submitted a declaration establishing that the requirements of Rule 3.1362 have been satisfied, shown sufficient reason why the motion to be relieved as counsel should be granted, and shown why Counsel brought the instant motion under Code of Civil Procedure section 284(2) instead of filing a consent under section 284(1).

Two matters concerning the proposed order require correction. First, the proposed order identifies the next scheduled hearing as a Case Management Conference on May 20, 2026, a date that has now passed. Rule 3.1362(e) requires that the order specify all hearing dates scheduled in the action, including the date of trial if known, and provides that if no hearing date is presently scheduled the court may set one and specify the date in the order. Trial has not been set. (Counsel's Declaration, MC-052, ¶ 6(a).) The Court therefore sets a Case Management Conference for November 4, 2026 at 2:30 p.m. in Department 8, together with an Order to Show Cause described below, and directs Counsel to lodge a revised proposed order on form MC-053 specifying that date at item 7 and reflecting that no trial date is set at item 9.

The Court further notes that USS is a corporation. (Notice of Motion and Motion, MC-051, ¶ 4(b).) A corporation may not represent itself in a court of record, either in propria persona or through an officer or agent who is not an attorney. (*Merco Constr. Engineers, Inc. v. Municipal Court* (1978) 21 Cal.3d 724, 729-730; *CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1145.) USS must therefore retain new counsel to appear on its behalf. USS's failure to retain new counsel prior to the Case Management Conference may result in an order striking its pleadings or the entry of a default judgment against it.

The Court therefore issues an Order to Show Cause, returnable on November 4, 2026 at 2:30 p.m. in Department 8, why the answer of United Security Specialists, Inc. should not be stricken on the ground that it is a corporation appearing without counsel. USS may discharge the Order to Show Cause by causing new counsel to appear on its behalf on or before that date. No sanction will be issued on the return date without further consideration of the status of the pending arbitration and the stay of the representative claims, which the Court will take up at the Case Management Conference set for the same date. Nothing in this order limits Plaintiff's right to seek relief by noticed motion.

Counsel shall serve a copy of the signed order relieving counsel and a copy of the Order to Show Cause on United Security Specialists, Inc. at the address specified at item 6 of the order, and on all parties that have appeared in this action, and shall file proof of that service. The clerk shall also serve a copy of the Order to Show Cause on United Security Specialists, Inc. at that address.

Accordingly, the motion is GRANTED. Counsel is relieved as counsel of record for USS effective upon the filing of the proof of service of the signed order upon the client. (Cal. Rules of Court, rule 3.1362(e); Proposed Order, MC-053, ¶ 5(a).)

### **III. Conclusion**

The motion of Courtney C. Wenrick and Womble Bond Dickinson (US) LLP to be relieved as counsel of record for defendant United Security Specialists, Inc. is GRANTED, effective upon the filing of the proof of service of the signed order upon the client. Counsel shall lodge a revised proposed order on Judicial Council form MC-053 that conforms to this order, and shall serve a copy of the signed order on the client and on all parties that have appeared in this action. The Court sets a Case Management Conference for November 4, 2026 at 2:30 p.m. in Department 8. The Court further issues an Order to Show Cause, returnable the same date, why the answer of United Security Specialists, Inc. should not be stricken on the ground that it is a corporation appearing without counsel. United Security Specialists, Inc. may discharge the Order to Show Cause by causing new counsel to appear on its behalf on or before that date.

Case Management Conference at 2:30 p.m. on August 19, 2026 is VACATED.

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## Calendar Lines 7 – 20

Case Name: *Good Samaritan Hospital, L.P. et al. v. Kaiser Foundation Health Plan, Inc.*  
Case No.: 23CV427314

### I. Introduction

Plaintiffs Good Samaritan Hospital, L.P.; San Jose Healthcare System, L.P.; Los Robles Regional Medical Center; Riverside Healthcare System, L.P.; and West Hills Hospital (the “Hospitals”) sued defendant Kaiser Foundation Health Plan, Inc. (“Kaiser”) on December 5, 2023.

Between June 29 and August 3, 2026, in connection with the Hospitals’ motion for summary adjudication as to certain of Kaiser’s affirmative defenses (the “MSA”) and the parties’ respective motions in limine (the “MILs”), the parties filed fourteen motions and applications to seal (the “Sealing Requests”). The parties have since agreed to resolve this matter, and the trial date has been vacated. The Sealing Requests appear to be the last law and motion matters remaining before the Court.

Having reviewed the Sealing Requests, the declarations supporting each, the stipulated protective order entered March 7, 2024 (the “Protective Order”), and the materials lodged conditionally under seal, the Court GRANTS the Sealing Requests in substantial part, CONDITIONALLY GRANTS them in part, and DEFERS ruling in two limited respects.

### II. The Sealing Requests

| No. | Filed   | Short form                        | Materials                                                            | Supporting declaration |
|-----|---------|-----------------------------------|----------------------------------------------------------------------|------------------------|
| 1   | 6/29/26 | Hospitals’ MIL Application        | Materials filed with the Hospitals’ MILs 1–10                        | Barnhart               |
| 2   | 6/29/26 | Kaiser’s MIL Motion               | Kaiser’s MILs 1, 2, 6 and supporting exhibits                        | Reiter                 |
| 3   | 7/6/26  | Kaiser’s MSA and MIL Motion       | Portions of the Hospitals’ MSA and MILs 1–10 and supporting exhibits | Reiter                 |
| 4   | 7/9/26  | Hospitals’ Kaiser-MIL Application | Materials lodged by Kaiser with Kaiser’s MILs 1–6                    | Barnhart               |

| <b>No.</b> | <b>Filed</b> | <b>Short form</b>                            | <b>Materials</b>                                                                                  | <b>Supporting declaration</b> |
|------------|--------------|----------------------------------------------|---------------------------------------------------------------------------------------------------|-------------------------------|
| 5          | 7/13/26      | Kaiser's MSA Opposition Motion               | Portions of Kaiser's MSA opposition and separate statement                                        | Reiter                        |
| 6          | 7/15/26      | Hospitals' MIL Opposition Application        | Materials filed with the Hospitals' oppositions to Kaiser's MILs 1–6                              | Barnhart                      |
| 7          | 7/15/26      | Kaiser's MIL Opposition Motion               | Portions of Kaiser's MIL oppositions and supporting exhibits                                      | Reiter                        |
| 8          | 7/22/26      | Hospitals' MSA Reply Application             | Portions of the Hospitals' MSA reply, responses to separate statement, and evidentiary objections | Barnhart                      |
| 9          | 7/23/26      | Hospitals' Kaiser-MSA-Opposition Application | Materials filed by Kaiser with Kaiser's MSA opposition                                            | Barnhart                      |
| 10         | 7/24/26      | Kaiser's Omnibus Motion                      | Materials filed with the Hospitals' MSA reply and MIL oppositions, and with Kaiser's MIL replies  | Reiter                        |
| 11         | 7/24/26      | Hospitals' MIL Reply Application             | Materials filed with the Hospitals' replies ISO MILs 1–10                                         | Barnhart                      |
| 12         | 7/27/26      | Hospitals' Kaiser-MIL-Opposition Application | Materials lodged by Kaiser with Kaiser's oppositions to the Hospitals' MILs 1–10                  | Barnhart                      |
| 13         | 8/3/26       | Hospitals' Kaiser-MIL-Reply Application      | Materials lodged by Kaiser with Kaiser's replies ISO MILs 1–6                                     | Barnhart                      |
| 14         | 8/3/26       | Kaiser's MIL Reply Motion                    | Portions of the Hospitals' replies ISO MILs 8 and 9                                               | Reiter                        |

The Court refers to the supporting declarations of Lindsey Barnhart collectively as the “Barnhart Sealing Declarations” and to those of Joseph A. Reiter as the “Reiter Sealing Declarations.”

#### **A. Declarations to Which Exhibits are Attached**

The materials at issue are exhibits to declarations filed with the merits briefing, not to the Sealing Requests. Exhibit numbers repeat across those declarations, so each is cited by the short form below.

| Short form                  | Filed   | Exhibits     |
|-----------------------------|---------|--------------|
| Barnhart MSA Decl.          | 6/24/26 | Exs. 1–5+    |
| Barnhart MIL Decl.          | 6/29/26 | Exs. 1–44    |
| First Reiter Omnibus Decl.  | 6/29/26 | Exs. 1–76    |
| Reiter MSA Opp. Decl.       | 7/13/26 | Exs. 1–35    |
| Barnhart MIL Opp. Decl.     | 7/15/26 | Exs. 1–21    |
| Second Reiter Omnibus Decl. | 7/15/26 | Exs. 80–143  |
| Barnhart MIL Reply Decl.    | 7/24/26 | Exs. 1–5     |
| Third Reiter Omnibus Decl.  | 7/24/26 | Exs. 146–149 |

## **B. The Hospitals’ Response**

On July 28, 2026 the Hospitals filed a response addressing Sealing Requests Nos. 2, 3, and 10 (the “Hospitals’ Response”). Kaiser filed no reply. That response is the only opposition of any kind in the record; the remaining eleven Sealing Requests are unopposed.

## **III. The Protective Order**

The Protective Order permits any party or non-party to designate discovery material “Confidential” or, for extremely sensitive non-public business or financial information, “Highly Confidential – Attorneys’ Eyes Only” (together, “Protected Material”). (Protective Order, ¶¶ 1–3.) Its preamble recites that the parties intended it to function as a qualified protective order under 45 Code of Federal Regulations part 164.512(e)(1)(v), governing protected health information under the Health Insurance Portability and Accountability Act of 1996 (“HIPAA”) and the California Confidentiality of Medical Information Act (“CMIA”).

Part Two governs use of Protected Material in court. Paragraph 19 requires a party filing its own designated material and seeking sealing to move under California Rules of Court, rule 2.551. Paragraph 20 addresses the converse (i.e., a party filing material designated by someone else) and permits that party either to give ten business days’ advance notice or to lodge under rule 2.551(d) while filing redacted public versions, in which case any affected party may move to seal within ten business days after the lodging.

Paragraph 20 explains the posture here. Most Sealing Requests are brought by the party that did not file the material: Kaiser moves to seal exhibits the Hospitals submitted, and the Hospitals move to seal exhibits Kaiser lodged. Eleven of the fourteen sealing are unopposed because the only party positioned to oppose is the one that made the filing and has no confidentiality interest of its own in the material.

Two further provisions bear on the analysis. Paragraph 21 provides that a sealing declaration under rule 2.551(b)(1) “shall contain sufficient particularity with respect to the particular Protected Material and the basis for sealing to enable the Court to make the findings required by California Rule of Court 2.550(d) without being required to review each item of Protected Material.” Paragraph 22 confirms the limits of the parties’ agreement: the Protective Order “creates no right to file Protected Material under seal without complying with California Rules of Court, Rules 2.550 et seq.”

#### **IV. Legal Standard**

Unless confidentiality is required by law, court records are presumed open. (Cal. Rules of Court, rule 2.550(c).) A record may be filed under seal only if the court expressly finds: (1) an overriding interest exists that overcomes the right of public access; (2) the overriding interest supports sealing; (3) a substantial probability exists that the overriding interest will be prejudiced absent sealing; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist. (Rule 2.550(d); *NBC Subsidiary (KNBC-TV), Inc. v. Superior Court* (1999) 20 Cal.4th 1178, 1217–1218 (*NBC Subsidiary*).) A sealing order must state the facts supporting the findings and must reach only those documents and pages (or, if reasonably practical, portions of them) containing material that must be sealed. (Rule 2.550(e)(1)(A)–(B).) The motion must be supported by a declaration containing facts sufficient to justify sealing (rule 2.551(b)(1)), and the court may not seal a record based solely on the parties’ agreement (rule 2.551(a)).

The right of access exists so the public may monitor the exercise of judicial power. It is strongest as to records furnishing the basis for adjudication of substantive rights, and weaker as to records that do not. (*NBC Subsidiary, supra*, 20 Cal.4th at pp. 1208–1212; *Overstock.com*,

*Inc. v. Goldman Sachs Group, Inc.* (2014) 231 Cal.App.4th 471, 486–488.) Here, the MSA and MILs were never decided. The parties settled, and no right will be adjudicated on the basis of these materials. The public interest in access, while real, is materially weaker than it would be had the Court ruled on their basis. That informs the balance struck below but relieves the movants of no element of rule 2.550(d), and the Court has not treated it as doing so.

Preservation of trade secrets and confidential commercial information is a recognized overriding interest. (*NBC Subsidiary, supra*, 20 Cal.4th at p. 1222, fn. 46; *In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298–301 (*In re Providian*); *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1283–1286 (*Universal City Studios*).) So is the privacy of non-party patients in their medical information. (Cal. Const., Art. I, § 1.) A record already accessible to the public, however, cannot be sealed. (Rule 2.550(d)(1); *Hurvitz v. Hoefflin* (2000) 84 Cal.App.4th 1232, 1245 (*Hurvitz*).)

## V. Categories of Material

**“Contract Material”**: executed agreements between Kaiser or Kaiser Foundation Hospitals, Inc. and the Hospitals or other third-party hospitals; rate exhibits and fee schedules to those agreements; claims-level billing, payment, and patient-liability data; settlement agreements between the parties; and quotations from or summaries of the foregoing.

**“Strategy Material”**: internal analyses, correspondence, presentations, and testimony reflecting either party’s approach to negotiating contracts and reimbursement with the other or with third parties.

**“Patient Material”**: medical records of Kaiser members and other non-party patients, provider payment dispute resolution requests identifying individual patients, and the discrete portions of expert reports and deposition testimony discussing individual patient encounters.

**“Methodology Material”**: documents and testimony describing Kaiser’s proprietary methodology for determining “reasonable and customary” reimbursement rates payable to non-contracted facilities.

**“Excerpted Testimony”**: the excerpted deposition transcripts and excerpted expert reports lodged as exhibits, which contain Contract, Strategy, Patient, or Methodology Material.

**“Brief Portions”:** the identified lines, footnotes, and highlighted passages of the parties’ briefs, separate statements, responses to separate statements, and evidentiary objections that quote from, summarize, or otherwise disclose the foregoing.

## **VI. Findings**

### **A. The Supporting Declarations Satisfy Rule 2.551(b)(1)**

The Barnhart and Reiter Sealing Declarations describe the material by category rather than document by document. The Court concludes that showing suffices, for three reasons.

First, the parties stipulated to this approach and the Court approved it. Paragraph 21 of the Protective Order expressly contemplates a declaration particular enough as to categories of Protected Material to permit the rule 2.550(d) findings “without being required to review each item.” A stipulation cannot relieve the Court of its independent obligation under rule 2.551(a), and the Court does not treat paragraph 21 as doing so because paragraph 22 forecloses that reading. But paragraph 21 reflects a considered, court-approved judgment about the particularity appropriate to litigation of this scale, and the declarations conform to it.

Second, the categories are discriminating rather than undifferentiated. The movants assert no blanket claim over everything designated under the Protective Order. They identify four distinct classes of information and match each exhibit and designated passage to the class or classes into which it falls. The character of each class supplies the substance a document-by-document declaration would otherwise provide.

Third, the Court has examined the materials lodged conditionally under seal and finds the categorical descriptions accurate.

### **B. Overriding Interests Exist**

Overriding interests exist as to each category, as set forth below.

#### *1. Contract Material*

The agreements, rate exhibits, and claims-level payment data reflect specifically negotiated pricing whose commercial value depends on its confidentiality. Disclosure would inform every counterparty in future negotiations with either party and impair the ability of both to compete. Several agreements contain express nondisclosure provisions, supporting the conclusion that the parties have taken reasonable steps to preserve secrecy. (See *Universal City Studios, supra*, 110 Cal.App.4th at pp. 1285–1286.) The Court finds an overriding interest, that it supports sealing, and that a substantial probability exists it would be prejudiced by public disclosure.

## *2. Strategy Material*

Internal deliberations about how to approach negotiation and reimbursement disputes are confidential business information of the same character and warrant the same treatment, for the same reasons.

## *3. Methodology Material*

Kaiser’s reasonable-and-customary methodology derives independent economic value from not being generally known to persons who could obtain value from its disclosure, and is the subject of efforts reasonable under the circumstances to maintain secrecy. (Civ. Code, § 3426.1, subd. (d).) The Reiter Sealing Declarations further state that Kaiser files the methodology with the Department of Managed Health Care and has been advised the agency will treat it as confidential. The Court finds an overriding interest.

## *4. Patient Material*

Non-party patients have a constitutionally protected privacy interest in their medical information, reinforced by HIPAA and the CMIA. The parties structured the Protective Order as a qualified protective order for that reason. The patients are not before the Court and cannot protect their own interests. The overriding interest is manifest and the probability of prejudice from disclosure self-evident.

### **C. The Sealing is Narrowly Tailored and No Less Restrictive Means Exist**

Rule 2.550(e)(1)(B) requires that sealing extend only to those documents, pages, or if reasonably practical, portions of pages containing material requiring protection.

The Brief Portions are tailored on their face. The movants identify specific pages, lines, footnotes, and highlighted passages, leaving the remainder of each document in the public file. Kaiser's MSA Opposition Motion, for instance, designates individual lines ("Page 2, Lines 19, 24–26; Page 3, Line 3 ...") rather than the document; the Hospitals' Kaiser-MIL Application designates ranges as narrow as a single line. The Court finds these requests narrowly tailored and finds no less restrictive means available.

As to the Excerpted Testimony, the parties lodged not complete transcripts or reports but the excerpted pages on which they relied, and in several instances designated particular page-and-line ranges within those excerpts, as with First Reiter Omnibus Decl. Ex. 3, for which the Hospitals seek sealing only of 115:8–116:5 and 119:17–23. The narrowing rule 2.550(e)(1)(B) contemplates has already occurred at the point of submission. Further redaction would not meaningfully reduce the volume of sealed material and is not reasonably practical.

As to the Contract Material, the Court has considered whether the agreements might be sealed in part, leaving boilerplate and signature pages public. Because the rate exhibits and payment schedules constitute the substance of these documents, because the confidentiality provisions are themselves among the terms at issue, and because the agreements have not been offered as the basis for any adjudication, the Court finds partial sealing not reasonably practical and no less restrictive means available.

A residual group of exhibits is sought to be sealed in full without excerpting and without a description sufficient to permit the required findings. Those are addressed in section VII.B.

## **VII. Rulings**

### **A. Granted**



The Sealing Requests are GRANTED as to the following, which shall be filed under seal.

| <b>Category</b>      | <b>Materials</b>                                                                                                                                                                                                                                                                                                                                             | <b>Requests</b>     |
|----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| Patient Material     | First Reiter Omnibus Decl. Exs. 70–74; Second Reiter Omnibus Decl. Exs. 139, 140; Barnhart MIL Decl. Ex. 20, Ex. 40 (¶¶ 18, 20 & Ex. 2), Ex. 41 (pp. 112–113)                                                                                                                                                                                                | 1, 2, 3, 4, 7, 12   |
| Contract Material    | Barnhart MSA Decl. Ex. 4 (p. 9), Ex. 5 (designated columns); Barnhart MIL Decl. Exs. 2, 20–27, 29, 42–44; First Reiter Omnibus Decl. Exs. 67, 71–76; Reiter MSA Opp. Decl. Exs. 8, 11–16, 19, 25, 27–33, 35; Second Reiter Omnibus Decl. Exs. 83, 95, 100–102, 104, 105; Barnhart MIL Opp. Decl. Exs. 4, 5, 12, 15, 17                                       | 2, 3, 5, 7, 10      |
| Strategy Material    | First Reiter Omnibus Decl. Exs. 18, 19, 29, 75; Barnhart MIL Decl. Exs. 8, 11, 35, 36; Barnhart MIL Opp. Decl. Exs. 12, 13, 14, 16; Second Reiter Omnibus Decl. Exs. 84, 90, 94, 103, 106, 111–113, 117, 132, 143                                                                                                                                            | 1, 4, 6, 7, 10, 12  |
| Methodology Material | Second Reiter Omnibus Decl. Exs. 119, 121, 123, 126, 129, 130, 133, 135–137, 141; Reiter MSA Opp. Decl. Exs. 1, 19, 33; Barnhart MSA Decl. Ex. 3 (pp. 8–9), Ex. 4 (pp. 5–8); Barnhart MIL Decl. Ex. 5 (pp. 8–9), Ex. 31                                                                                                                                      | 3, 5, 7, 10         |
| Excerpted Testimony  | First Reiter Omnibus Decl. Ex. 3 (115:8–116:5; 119:17–23), Exs. 5, 53–55, 58, 62, 64–66, 68; Barnhart MIL Decl. Exs. 1, 6, 7, 33, 38, 39, 41, 43; Barnhart MIL Opp. Decl. Exs. 4, 13, 18, 21; Barnhart MIL Reply Decl. Exs. 1, 3, 4, 5; Second Reiter Omnibus Decl. Exs. 80, 82, 92, 93, 96, 99, 107, 110, 115, 118; Third Reiter Omnibus Decl. Exs. 146–149 | 1, 4, 6, 11, 12, 13 |
| Brief Portions       | All page-, line-, and highlight-designated portions of the MILs, MIL oppositions, MIL replies, MSA, MSA opposition, MSA reply, separate statements, responses to separate statements, and evidentiary objections identified in Sealing Requests Nos. 1, 3, 4, 5, 6, 7, 8, 10, 11, 12, 13, and 14; Barnhart MIL Decl. ¶ 44                                    | 1, 3–8, 10–14       |

As to each item, the Court finds: an overriding interest exists as described in section VI.B; the overriding interest supports sealing; a substantial probability exists that it would be prejudiced were the record not sealed; the sealing is narrowly tailored; and no less restrictive means exist.

**B. Conditionally granted**

The following are CONDITIONALLY GRANTED. The materials shall remain under seal, and sealing shall become final without further order upon the filing described. Absent a timely filing, the Court will set the matter for further hearing before ruling.

*1. Exhibits Described Only as “Undated Internal Hospitals Document”*

Second Reiter Omnibus Decl. Exs. 81, 108, 114, and 116 are identified in Sealing Request No. 12 solely by that phrase, and the Court cannot state facts supporting the required findings on that description alone. Within 15 days the Hospitals shall file a supplemental declaration identifying the nature, approximate date, and subject matter of each exhibit and the category into which it falls.

*2. Complete Expert Reports*

Barnhart MIL Decl. Exs. 1, 31, 42, and 44, and First Reiter Omnibus Decl. Exs. 26, 31, and 63, appear to be complete or substantially complete expert reports rather than excerpts. Within 15 days the proponent of sealing shall either (a) lodge proposed redacted public versions, or (b) file a declaration stating that redaction is not reasonably practical because the confidential material is distributed throughout the report, in which event the exhibits shall be sealed in their entirety.

*3. Exhibits Lodged Without any Sealing Request*

Barnhart MIL Opp. Decl. Exs. 9, 10, and 11 were lodged conditionally under seal on July 15, 2026 with notice that the Hospitals would not move to seal them and that Kaiser had ten days to do so. Kaiser’s Omnibus Motion is timely but reaches Exs. 1–7 and 12–17 of that declaration, omitting Exs. 9, 10, and 11. Under rule 2.551(b)(3)(B) those exhibits would ordinarily be transferred to the public file. Because Kaiser moved to seal the exhibits on either side of them in the same series, the omission appears inadvertent. Kaiser may file a request as

to these three exhibits within 15 days; absent such a filing they shall be transferred to the public file.

#### 4. *The Lodging Notices*

Kaiser’s notices of lodging filed June 29 and July 24, 2026 each list certain items both as documents Kaiser “has moved to seal” and as documents Kaiser “does not intend to seal”: in the June 29 notice, Kaiser’s MILs 1, 2, and 6 and a substantial number of First Reiter Omnibus Decl. exhibits; in the July 24 notice, Kaiser’s replies ISO MILs 1, 2, and 5 and Third Reiter Omnibus Decl. Exs. 147 and 148. The Court treats Sealing Requests Nos. 2 and 10 as the operative statements of the relief Kaiser seeks and resolves the discrepancy accordingly. Kaiser shall file a corrected notice within 15 days confirming this understanding.

#### C. **Deferred: Material Asserted to be in the Public Domain**

The Hospitals’ Response represents that fourteen exhibits Kaiser moves to seal were admitted as trial exhibits in *Los Robles Regional Medical Center et al. v. Kaiser Foundation Health Plan, Inc., et al.* (Alameda Super. Ct.) No. RG17880285 (“*Kaiser I*”):

| <b>Exhibit</b>                                 | <b><i>Kaiser I</i> trial exhibit</b>                 |
|------------------------------------------------|------------------------------------------------------|
| First Reiter Omnibus Decl. Exs. 33, 41, 47     | PTX-001, PTX-034, PTX-835                            |
| Barnhart MIL Decl. Exs. 12, 13, 14, 16, 17, 18 | PTX-003, PTX-001, PTX-017, PTX-010, PTX-009, PTX-016 |
| Barnhart MIL Opp. Decl. Exs. 1, 2, 3, 6, 7     | PTX-016, PTX-009, PTX-017, PTX-003, PTX-010          |

A record cannot be sealed if public access already exists. (Rule 2.550(d)(1); *Hurvitz, supra*, 84 Cal.App.4th at p. 1245.) The Protective Order reflects the same principle: “a document may lose its protected status if it is made public.” (Protective Order, ¶ 12.) Kaiser’s own papers acknowledge, quoting *In re Providian, supra*, 96 Cal.App.4th at page 304, that public disclosure “is fatal to the existence of a trade secret.”

While Kaiser has not responded, the Court is nonetheless reluctant to order these exhibits into the public file on the present showing. The Hospitals' representation is made by an officer of the court but is unsupported by declaration, by the *Kaiser I* exhibit list, or by other documentation. And admission of an exhibit at trial does not invariably place it in the public domain, since an exhibit may be admitted subject to a sealing order. Second Reiter Omnibus Decl. Ex. 91 (which the Hospitals themselves ask the Court to seal) is the *Kaiser I* court's July 21, 2022 orders on in limine motions, bearing the legend "(Unredacted – To Be Filed Under Seal)," indicating at least some portion of the *Kaiser I* record was sealed.

Accordingly, the Court DEFERS its ruling. Within 15 days Kaiser may file a declaration establishing that these exhibits were admitted under seal in *Kaiser I* or otherwise remain non-public, and the Hospitals may lodge documentary support for their representation. If Kaiser makes the showing, Sealing Requests Nos. 2, 3, and 10 will be granted as to these exhibits; if not, they will be denied as to these exhibits and the exhibits placed in the public file.

As to Barnhart MSA Decl. Ex. 5, the stipulation and arbitration agreement re arbitration of denied medical claims and Exhibit A thereto, Sealing Request No. 3 is DENIED AS MOOT: as the Hospitals' Response reflects, the parties jointly filed that document on July 6, 2026 with the columns at issue unsealed, and the Court so ordered on July 9, 2026.

#### **D. Deferred: the *Kaiser I* in Limine Orders**

By Sealing Request No. 12 the Hospitals seek to seal Second Reiter Omnibus Decl. Ex. 91, the *Kaiser I* in limine orders described above, which Kaiser lodged but did not move to seal. The exhibit is a record of a coordinate court whose sealing status that court has already determined, and the question is intertwined with the submissions ordered in section VII.C. Ruling is DEFERRED on the same schedule; the exhibit shall remain under seal in the interim.

### **VIII. Conclusion**

1. Sealing Requests Nos. 1 through 14 are GRANTED as to the materials identified in section VII.A. The Clerk is directed to file those materials under seal.

2. Sealing Requests Nos. 2, 6, 10, and 12 are CONDITIONALLY GRANTED as to the materials identified in section VII.B, which shall remain under seal pending the filings described there.
3. Ruling on Sealing Requests Nos. 2, 3, 10, and 12 is DEFERRED as to the materials identified in sections VII.C and VII.D, which shall remain under seal in the interim.
4. Sealing Request No. 3 is DENIED AS MOOT as to Barnhart MSA Decl. Ex. 5.
5. All filings directed by sections VII.B, VII.C, and VII.D shall be made no later than 15 days from the date of this order. Any response shall be filed within 7 days thereafter.
6. Notwithstanding rule 2.551(b)(6), no record lodged conditionally under seal in connection with any Sealing Request shall be returned to the submitting party, deleted, or transferred to the public file except upon further order of this Court.
7. This order does not alter the parties' obligations under the Protective Order, which by its terms continues in effect after conclusion of the action. (Protective Order, ¶ 15.)
8. The Court makes no findings under rule 2.550 as to any record not identified above.
9. The Court retains jurisdiction to enforce and to modify this order following entry of judgment.

The Court will prepare the order.

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## Calendar Line 21

Case Name: Essex Portfolio, L.P. v. F.D. Thomas, Inc., et al.  
Case Nos.: 24CV428938

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 19, 2026, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

### **I. Introduction**

This is a construction defect involving multiple defendants. Defendant DeSilva Gates Construction, LLC (“DeSilva”) moves for an order determining a good faith settlement with plaintiff Essex Portfolio, L.P. (“Plaintiff”).<sup>2</sup> Defendant F.D. Thomas, Inc. (“Thomas”) opposes DeSilva’s motion and DeSilva has filed a reply.

DeSilva was the rough grading contractor during the construction project, an apartment complex in San Jose, California, currently known as the Enso Apartments and previously known as the Baypointe Apartments, located at 175 Baypointe Parkway, San Jose, California 95134.<sup>3</sup> The primary injury asserted by Plaintiff is the intrusion of water through the exterior envelope into an underground parking structure.

Plaintiff filed its initial complaint on January 8, 2024. It filed an amended complaint on May 13, 2024, asserting causes of action against DeSilva and others for (1) breach of contract, (2) breach of express warranty, (3) breach of implied warranty, and (4) negligence. On April 8, 2025, Plaintiff filed a request for dismissal, without prejudice, against DeSilva and the clerk entered the dismissal on that same date.<sup>4</sup>

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<sup>2</sup> The Court grants DeSilva’s request for judicial notice of Plaintiff’s original complaint, filed January 8, 2024; DeSilva’s answer, filed February 20, 2024; Plaintiff’s first amended complaint, filed May 13, 2024; and DeSilva’s answer to Plaintiff’s first amended complaint, filed May 21, 2024. (See Evid. Code, § 452, subd. (d).)

<sup>3</sup> Due to the nature of the instant motion, the Court finds a full statement of facts and procedural history unnecessary.

<sup>4</sup> The Court grants DeSilva’s request for judicial notice of the request for dismissal. (See Evid. Code, § 452, subd. (d).)

On May 6, 2025, Silverline Construction, Inc. (“Silverline”) filed a cross-complaint asserting causes of action against DeSilva and others for (1) equitable indemnity, (2) contribution, and (3) declaratory relief. Silverline has not opposed the motion for good faith settlement.<sup>5</sup>

## **II. Legal Standard**

“Where a release, dismissal with or without prejudice, or a covenant not to sue or not to enforce judgment is given in good faith before verdict or judgment to one or more of a number of tortfeasors claimed to be liable for the same tort, or to one or more other co-obligors mutually subject to contribution rights, it shall have the following effect: It shall not discharge any other such party from liability unless its terms so provide, but it shall reduce the claims against the others in the amount stipulated by the release, the dismissal or the covenant, or in the amount of the consideration paid for it, whichever is the greater.” (Code Civ. Proc., § 877, subd. (a).) “It shall discharge the party to whom it is given from all liability for any contribution to any other parties.” (Code Civ. Proc., § 877, subd. (b).)

A settling party may apply for a determination of good faith settlement. (Code Civ. Proc., § 877.6, subd. (a)(2).) A nonsettling party may object. (*Ibid.*) “A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (*Id.*, subd. (c).) Courts consider several factors when determining whether a settlement is entered in good faith: a rough approximation of plaintiff’s total recovery; the settling defendant’s proportionate liability; the amount paid in settlement; the allocation of settlement proceeds among plaintiffs; the recognition that a settling defendant should pay less in settlement than it would if found liable after a trial; the financial conditions and insurance policy limits of settling defendants; and the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. (*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499 (*Tech-Bilt*).) A defendant’s

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<sup>5</sup> DeSilva’s proof of service filed with the motion as well as a later amended proof of service show service on Silverline.

settlement must not be “ ‘grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant’s liability to be.’ ” (*Ibid.*) The party asserting lack of good faith has the burden of proof. (Code Civ. Proc., § 877.6, subd. (d).) A settlement will be denied when it is “so far ‘out of the ballpark’ in relation to these factors as to be inconsistent with the equitable objectives of the statute.” (*Tech-Bilt*, *supra*, 38 Cal.3d at p. 500.)

Regarding the relative burdens of the parties, one appellate court has explained:

This court notes that of the hundreds of motions for good faith determination presented for trial court approval each year, the overwhelming majority are unopposed and granted summarily by the trial court. At the time of filing in many cases, the moving party does not know if a contest will develop. If each motion required a full recital by declaration or affidavit setting forth a complete factual response to all of the *Tech-Bilt* factors, literally thousands of attorney hours would be consumed and inch-thick motions would have to be read and considered by trial courts in an exercise which would waste valuable judicial and legal time and clients’ resources. It must also be remembered that *Tech-Bilt* was decided on a contested basis. We are unaware of any reported decision which has reversed an *uncontested* good faith determination and we, therefore, conclude that only when the good faith nature of a settlement is disputed, it is incumbent upon the trial court to consider and weigh the *Tech-Bilt* factors. That is to say, when no one objects, the barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient.

If the good faith settlement is contested, section 877.6, subdivision (d), sets forth a workable ground rule for the hearing by placing the burden of proving the lack of good faith on the contesting party. Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the nonsettlor who asserts that the settlement was not made in good faith. [Citations.] If contested, declarations by the nonsettlor should be filed which in many cases could require the moving party to file responsive counterdeclarations to negate the lack of good faith asserted by the nonsettling contesting party.

(*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261-1262 [concluding that moving party’s motion supported only by declaration mentioning relevant insurance policy exclusion in general terms, “the existence of the declaratory relief action, and that \$ 60,000 was paid by USAA to settle all claims of plaintiff against settlor, after which the declaratory relief action was dismissed” was sufficient because “a prima facie showing of a good faith settlement was set forth by settler”].)



“At a minimum, a party seeking confirmation of a settlement must explain to the court and to all other parties: who has settled with whom, the dollar amount of each settlement, if any settlement is allocated, how it is allocated between issues and/or parties, what nonmonetary consideration has been included, and how the parties to the settlement value the nonmonetary consideration.” (*Alcal Roofing & Insulation v. Superior Court* (1992) 8 Cal.App.4th 1121, 1129.) Thereafter, “[t]he party asserting the lack of good faith shall have the burden of proof on that issue.” (Code Civ. Proc., § 877.6, subd. (d).)

“Obtaining a determination that a settlement is in bad faith is a nullity under the statute, or, put simply, has the same effect as making no motion at all--the settlement does not act as a bar to further contribution and the nonsettling defendants can continue to pursue the settling defendant for a greater share of the damages.” (*Bailey v. Reliance Insurance Co.* (2000) 79 Cal.App.4th 449, 457-458.)

### **III. DeSilva’s Prior Application for Good Faith Settlement**

DeSilva previously filed an application for good faith settlement, which Thomas opposed via a motion for order denying DeSilva’s application. After a hearing on February 24, 2026, the Court (Hon. Jeffrey B. El-Hajj) denied the motion without prejudice via written order, finding that DeSilva had provided insufficient information about the terms of the settlement and the basis therefore.

### **IV. Merits of the Instant Motion**

DeSilva maintains that as the rough grading contractor for the project, its “scope of work was to rough grade the original site prior to construction, excavate and off-haul soil for construction of the garage, backfill with pea gravel, along the garage wall along Baypointe Parkway after construction of that wall, and backfill with imported soil along the remaining three garage walls after those walls were completed.” (Declaration of Heather N. Ingle-Gernhardt in Support of Motion for Determination of Good Faith Settlement (“Ingle-Gernhardt Decl.”), ¶ 7.)

After significant investigation involving destructive testing of the premises, Plaintiff determined that the investigation revealed no damage caused by DeSilva and it had no basis to assert liability against DeSilva. (Ingle-Gernhardt Decl., ¶¶ 8-9.) Accordingly, Plaintiff

approached DeSilva offering to dismiss the first amended complaint against it, without prejudice, in exchange for a waiver of DeSilva's right to seek fees and costs. (*Id.* at ¶ 9.) DeSilva accepted that offer and Plaintiff dismissed the First Amended Complaint as to DeSilva without prejudice. (*Id.* at ¶¶ 11-12.) DeSilva contends that, "[f]rom February 6, 2024, through April 8, 2025, DeSilva incurred \$42,178.28 in attorney fees, \$7,023.39 in expert expenses (Lombard Consulting), and \$529.00 in vendor expenses (Nationwide), totaling \$49,730.67." (*Id.* at ¶ 10.) Thus, it asserts that its waiver of fees and costs has the value of \$49,730.67. (See *Armstrong World Indus. v. Superior Court* (1989) 215 Cal.App.3d 951, 954 (*Armstrong*) ["a waiver of litigation costs by a settling defendant effects a reduction in the liability of nonsettling defendants in the same manner as though the settlement involved payment of the equivalent amount to plaintiff in cash."].)

Thomas opposes the motion, arguing that the settlement, which provides for no cash payment, is outside the ballpark of DeSilva's actual liability. It relies on the declaration of its expert, Peter Oliver Patterson ("Patterson"), a licensed contractor and construction expert, who has been involved in construction projects in various capacities since 1975. (See Declaration of Peter Oliver Patterson Supporting F.D. Thomas, Inc.'s Opposition to DeSilva Gates Construction, LLC's Motion for Determination of Good Faith Settlement ("Patterson Decl."), ¶ 2.) Patterson declares that he attended the destructive testing at the property, during which he observed damage occurring below the grade to the waterproof membrane installed by Thomas. (*Id.* at ¶ 4.) Marks on the membrane were consistent with teeth found on construction equipment used in the backfill process. (*Ibid.*) Patterson states "it is reasonable to determine that the damage was not a result of installation but by other subcontractors using earth moving equipment after the installation of the waterproofing membrane and foam protection board was completed." (*Ibid.*)

Patterson also viewed photos taken during the construction process. (Patterson Decl., ¶ 5.) From this, he "found the waterproofing and protection board was installed in vertical lifts by F.D. Thomas, Inc. and was then backfilled. This was repeated until the waterproofing membrane was designated to have reached the desired elevation, and then backfill was completed by others." (*Ibid.*) The waterproof membrane was installed without damage but the

protection board was damaged after the backfill process. (*Id.* at ¶¶ 5(a)&5(b).) “The backfill is higher than the protection board or the protection board is forced out of place during the backfill process. Fills in excess of 8 [inches] of loose material containing debris were installed in conflict with the soils report. The debris, when in contact with the protection board, may result in damage to the waterproof membrane.” (*Id.* at ¶ 5(c).) Patterson concludes, “It is my opinion as a construction industry expert that the waterproofing membrane installed by F.D. Thomas, Inc. was damaged after their installation was completed. Since the damage occurred below grade to the protection board and waterproofing membrane at multiple locations, the grading contractor who performed the backfill process may have some liability and should not be dismissed from this lawsuit.” (*Id.* at ¶ 6.)

The Court notes that Thomas has standing to challenge the motion despite the fact that it has not filed a cross-complaint against DeSilva and DeSilva does not dispute this. (Code Civ. Proc., § 877.6, subd. (a)(1) [“Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors[.]”].) It has been stated that “in moving under section 877.6 for a good faith settlement determination, the moving party must set forth the value of the consideration paid and an evidentiary basis for that valuation, and must demonstrate that the valuation ‘was reached in a sufficiently adversarial manner to justify the presumption that a reasonable valuation was reached.’ [Citations.]” (*Franklin Mint Co. v. Superior Court* (2005) 130 Cal.App.4th 1550, 1558.) “A nonsettling defendant may then challenge the settlement by ‘attempt[ing] to prove that the parties’ assigned value is too low and that a greater reduction in plaintiff’s claims against the remaining defendants is actually warranted.’ [Citation.]” (*Ibid.*)

DeSilva contends that because Plaintiff has determined that no liability exists on its part, the ballpark figure for its liability is zero. It further asserts that the offset value of the settlement is \$49,730.67, the amount it waived in costs. Thomas, on the other hand, provides no estimate of the “ballpark” value of DeSilva’s liability. The First Amended Complaint, which is attached to the declaration of Thomas’s counsel, does not provide any basis for determining an amount of damages that could be assigned to DeSilva. Thomas has the burden of proving

that the settlement amount of \$49,730.67. (*Long Beach Memorial Medical Center v. Superior Court* (2009) 172 Cal.App.4th 865, 873 [“The party asserting lack of good faith bears the burden of proof. ([Code Civ. Proc.], § 877.6, subd. (d).) That party must show that the settlement is so far ‘ “out of the ballpark” ’ as to be inconsistent with the equitable goals of section 877.6. (*Tech-Bilt, supra*, 38 Cal.3d at pp. 499-500.)”].) Thomas has not done so.

Thomas appears to contend that DeSilva has paid no amount toward its liability, when it should actually be paying its proportionate share. But, in *Armstrong, supra*, 215 Cal.App.3d 951, the prevailing defendant was awarded \$15,000 in litigation costs but agreed not to collect the \$15,000, in exchange for the plaintiff’s agreement not to appeal the judgment. (*Id.* at p. 954.) The *Armstrong* court held that the defendant’s forbearance from seeking an award to which it was entitled was legal consideration for a contract and was equivalent to the plaintiff receiving \$15,000. (*Id.* at p. 958.) It concluded that “a waiver of litigation costs by a settling defendant effects a reduction in the liability of nonsettling defendants in the same manner as though the settlement involved payment of the equivalent amount to plaintiff in cash.” (*Id.* at p. 954; see also *Garcia v. Duro Dyne Corp.* (2007) 156 Cal.App.4th 92, 105-106 [where settling defendants would have prevailed at trial and been entitled to costs as prevailing parties, cost waivers had offset value].)

Here, as in *Armstrong*, DeSilva is a prevailing defendant, in this case because Plaintiff’s case against it has been dismissed. (Code Civ. Proc., § 1032, subd. (a)(4) [“ ‘Prevailing party’ includes . . . a defendant in whose favor a dismissal is entered . . . “].) Thomas makes no argument regarding DeSilva’s entitlement to the costs it claims it waived in the settlement; nor does it dispute the amount of those costs. Because DeSilva would be entitled to costs as a prevailing party and has set forth a prima facie value of the cost amount and Thomas has not contested that amount, the court finds that the value of the settlement is \$49,730.67 and the remaining non-settling defendants are entitled to an offset of liability in that amount.

## **VII. Conclusion**

The motion is GRANTED.

Moving party DeSilva shall prepare the order.

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## Calendar Lines 22 – 23

Case Name: *Parihar v. MIPS Holding, Inc.*  
Case No.: 24CV448267

This is a putative class action arising from a data security incident. The parties have reached a settlement, and on February 20, 2026, the Court granted Plaintiff’s motion for preliminary approval of the settlement. Before the Court are Plaintiff’s unopposed motion for final approval of the settlement and Plaintiff’s motion for attorney fees, costs, and a service award. Both motions are unopposed, and no class member has objected. As discussed below, the Court GRANTS the motions and sets a compliance hearing for April 14, 2027, at 1:30 p.m. in Department 19.

### I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) A settlement of an entire class action requires court approval after a hearing, and the court must determine that the settlement is fair, adequate, and reasonable. (Cal. Rules of Court, rule 3.769(a), (g); *Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) Where, as here, the case settles before certification, certification and settlement approval occur simultaneously, and the court must also determine that the requirements for class certification are satisfied for settlement purposes. (*Ibid.*; Code Civ. Proc., § 382; *Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

A presumption of fairness arises where (1) the settlement is reached through arm’s-length bargaining, (2) investigation and discovery are sufficient to allow the court and counsel to act intelligently, (3) counsel is experienced in similar litigation, and (4) the percentage of objectors is small. (*Luckey, supra*, 228 Cal.App.4th at p. 94, fn. 13, citing *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802.) The court also considers the strength of the plaintiff’s case, the risk, expense, complexity and likely duration of further litigation, the risk of

maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement. (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 128.) These factors are not exhaustive and should be tailored to each case, and the trial court is free to engage in a balancing and weighing of factors depending on the circumstances. (*Ibid.*; *Wershba, supra*, 91 Cal.App.4th at p. 245.) The most important factor is the strength of the plaintiff's case on the merits, balanced against the amount offered in settlement. (*Kullar, supra*, 168 Cal.App.4th at p. 130.)

## **II. Terms and Administration of Settlement**

### **A. Settlement Terms**

This case has been settled on behalf of the following class:

All individuals residing in the United States whose Personal Information was compromised in the Data Security Incident experienced by MIPS, including all those who received notice of the Data Security Incident.

(Settlement Agreement ("Agreement"), ¶ 35; Preliminary Approval Order, ¶ 1.)

Excluded from the class are Defendant; class members who timely and validly request exclusion; the judges assigned to this case and their staff and family; and any person found by a court of competent jurisdiction to be criminally responsible for the data security incident. The settlement administrator reports that the class consists of 621 members. (Declaration of Settlement Administrator Regarding Notice ("Admin. Decl."), ¶ 5.)

The settlement is claims-made rather than a common fund. Class members who submitted a valid claim are eligible for: (1) reimbursement of documented ordinary losses up to \$500 per person; (2) reimbursement for up to four hours of lost time at \$20 per hour (up to \$80), which counts toward the \$500 ordinary loss cap; (3) reimbursement of documented extraordinary losses arising from fraud or identity theft up to \$3,000 per person; or (4) in lieu of the foregoing, an alternative cash payment of \$75 per person. (Agreement, ¶ 43.) These cash benefits are subject to an aggregate cap of \$120,000, with pro rata reduction if valid claims

exceed that amount. (*Ibid.*) Separately, class members may claim three years of credit monitoring and identity theft protection services through IDX, including \$1 million in identity theft insurance, which Defendant pays for separately from the other settlement benefits. (*Id.* at ¶ 42.) Defendant has also agreed to implement and pay for cybersecurity improvements separate and apart from all other settlement benefits. (*Id.* at ¶ 44.) Attorney fees, litigation costs, the service award, and the costs of settlement administration are paid separately by Defendant and do not reduce the benefits available to the class. The Court previously approved and appointed Analytics Consulting, LLC as settlement administrator, and confirms that appointment.

In exchange for the settlement, class members release all claims “that result from, relate to, are based upon, or arise out of the Data Security Incident, the operative facts alleged in the Action, including the complaint and any amendment thereto, Defendant’s information security policies and practices, or Defendant’s maintenance or storage of Personal Information, and conduct that was alleged or could have been alleged in the Action.” ([Proposed] Order of Final Approval and Judgment, ¶ 18.) The release is appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

#### **B. Class Certification for Settlement Purposes**

At preliminary approval, the Court found that the class would likely satisfy the requirements of Code of Civil Procedure section 382 for settlement purposes. Nothing has changed in the interim. (Declaration of Cassandra P. Miller in Support of Motion for Final Approval (“Miller Final Decl.”), ¶ 8.) The class is ascertainable because it is defined by objective criteria—the individuals whose personal information Defendant maintained and whose information was compromised in the incident—and the administrator has identified all 621 members from Defendant’s records. (*Id.* at ¶ 9; Admin. Decl., ¶ 5.) The class is sufficiently numerous. Common questions predominate because every class member’s claim turns on whether Defendant owed and breached a duty to safeguard the personal information it maintained and on Defendant’s response to the single incident that occurred on or about June



26, 2024. Plaintiff's claims are typical for the same reason, and Plaintiff and counsel have adequately represented the class. (*Id.* at ¶¶ 10-11.) Finally, class treatment is superior to individual litigation of 621 claims of modest individual value. (*Id.* at ¶ 12.) The Court finally certifies the settlement class and confirms the appointment of Plaintiff Raj Kumar Singh Parihar as class representative and Strauss Borrelli PLLC as class counsel.

### **C. Administration of Settlement**

On or about March 4, 2026, Defendant provided the administrator with a class list containing 621 records. (Admin. Decl., ¶ 5.) No duplicates were identified, and the administrator updated the addresses against the United States Postal Service National Change of Address database. (*Id.* at ¶¶ 5-6.) On March 23, 2026, the administrator mailed the Court-approved postcard notice to all 621 class members, advising them of the requested attorney fees and service award and of their rights to submit a claim, request exclusion, object, or do nothing. (*Id.* at ¶ 7.) The administrator established a settlement website hosting the settlement agreement, the long form and postcard notices, the claim form, and the preliminary approval order, and permitting online claim submission; the website received 196 page views from 118 unique users. (*Id.* at ¶¶ 8-9.) A dedicated email address received and answered five inquiries. (*Id.* at ¶ 10.)

One notice was returned with a forwarding address and was re-mailed. (*Id.* at ¶ 11.) Sixty-four notices were returned without a forwarding address; the administrator performed skip tracing, located 43 updated addresses, and re-mailed the notice to each. (*Id.* at ¶ 12.) The administrator estimates that direct mail notice reached at least 600 class members, or approximately 96.6 percent of the class. (*Id.* at ¶ 13.) The Court finds that the notice program was carried out in conformity with the preliminary approval order and constituted the best notice practicable under the circumstances, satisfying the requirements of California Rules of Court, rule 3.769, and due process.

The deadline to request exclusion or to object was May 22, 2026, and the claims deadline was June 22, 2026. (*Id.* at ¶¶ 14-15.) The administrator received zero requests for exclusion and zero objections. (*Id.* at ¶ 14.) It received 54 timely claims, 53 of which were

deemed valid in whole or in part, for a valid claims rate of 8.53 percent. (*Id.* at ¶¶ 15-16.) Of the valid claims, 18 seek the credit monitoring benefit, 10 seek lost time reimbursement, and 32 seek the alternative cash payment. (*Id.* at ¶ 20.) Two claims remain partially deficient for lack of documentation supporting out-of-pocket losses (though they remain valid as to credit monitoring and lost time), and one claim was deemed wholly deficient because it was signed under a name other than the class member's. (*Id.* at ¶¶ 17-18.) The administrator mailed deficiency letters as to all three claims on June 29, 2026 with a response deadline of July 20, 2026, and received no response. (*Id.* at ¶ 19.) The notice and claims process has now been completed.

#### **D. Fairness of the Settlement**

The settlement is entitled to a presumption of fairness. It was reached at arm's length through a formal mediation on April 24, 2025 before the Hon. Ronald B. Leighton (Ret.), a retired United States district judge, and the parties did not negotiate attorney fees or the service award until after the core settlement terms were agreed upon. (Miller Final Decl., ¶¶ 3-7.) Counsel exchanged informal discovery and mediation statements addressing the scope of the incident, the size of the class, and Defendant's response, which was sufficient to allow counsel and the Court to act intelligently. (*Id.* at ¶¶ 3, 17-18.) Class counsel is experienced in data breach class litigation. (*Id.* at ¶ 10.) And no class member objected or opted out. (Admin. Decl., ¶ 14.) All four factors are satisfied. (*Luckey, supra*, 228 Cal.App.4th at p. 94, fn. 13.)

The *Kullar* factors point in the same direction. Data breach litigation remains an unsettled and difficult field, and Plaintiff faced substantial risk on causation, damages, class certification, and appeal; Plaintiff did not allege readily quantifiable damages such as fraudulent charges or out-of-pocket losses. (Memorandum in Support of Motion for Final Approval, pp. 11-13; Miller Final Decl., ¶¶ 14-15.) Measured against that risk, the relief is reasonable: the \$120,000 aggregate cap on cash benefits exceeds counsel's estimate of the nominal value of the class's claims, and the settlement also provides three years of credit monitoring with \$1 million in identity theft insurance and remedial security measures, both paid for separately by Defendant. (*Id.* at ¶¶ 15-16; Agreement, ¶¶ 42, 44.) Further litigation

would have been expensive and protracted, the case settled after sufficient informal discovery and a mediation, experienced counsel supports the settlement, and there is no governmental participant. Most significantly, the reaction of the class has been uniformly favorable: no objections, no opt-outs, and a claims rate of 8.53 percent, which compares well with claims rates in comparable data breach settlements.

At preliminary approval, the Court found the settlement to be fair, reasonable, and adequate. Given the absence of any objection or request for exclusion, the Court finds no reason to deviate from that finding now. Accordingly, the Court finds that the settlement is fair, reasonable, and adequate for purposes of final approval.

### **III. Service Award, Attorney Fees and Costs**

Plaintiff seeks a service award of \$3,000. In assessing a service award, courts consider the risk to the class representative in commencing suit, both financial and otherwise; the notoriety and personal difficulties encountered; the amount of time and effort expended; the duration of the litigation; and the personal benefit, or lack thereof, enjoyed as a result of the litigation. (See *Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395.) Plaintiff has submitted a declaration attesting that he devoted at least 50 hours to his responsibilities as class representative (communicating with counsel, gathering documents and information, reviewing filings, and answering questions from other class members) over the 19 months of this litigation, and that he accepted the risk of backlash from his former employer and of placing his own information at issue publicly. (Declaration of Raj Kumar Singh Parihar, ¶¶ 6-8.) That is sufficient evidentiary support, and the requested amount is below what California courts routinely approve. The service award is approved in the amount requested.

Class counsel seeks an attorney fee award of \$95,000. Because the settlement is claims-made and creates no common fund, the percentage method does not fit, and the Court applies the lodestar method. (See *Laffitte v. Robert Half Internat. Inc.* (2016) 1 Cal.5th 480, 489; *Wershba, supra*, 91 Cal.App.4th at p. 254; *PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.) Counsel represents that the firm billed 113.1 hours over 19 months, yielding a lodestar of \$72,735 at rates ranging from \$150 per hour for legal assistants to \$800 per hour for

founding partners, for a blended rate of \$643.10. (Declaration of Cassandra P. Miller in Support of Motion for Attorney Fees, Costs, and Service Award (“Miller Fee Decl.”), ¶ 9 and Ex. 1.) Counsel has provided a timekeeper-by-timekeeper breakdown of the hours, rates, and lodestar, consistent with the Court’s Guidelines for Motions Relating to Preliminary and Final Approval of Class Actions. (*Ibid.*) The hours are reasonable for a case that was investigated, briefed through a demurrer, mediated, and carried through preliminary and final approval, and the rates are within the range approved for comparable work in this county and elsewhere. (*Id.* at ¶ 10.)

The requested fee reflects a multiplier of approximately 1.31 on the lodestar, which is reduced to approximately 1.27 once the \$2,386.05 in unreimbursed litigation costs discussed below is taken into account. (*Id.* at ¶¶ 11, 17.) A modest multiplier is warranted here. The questions presented were novel and difficult, counsel litigated the matter on a wholly contingent basis with a real risk of no recovery, the hours devoted to this case were unavailable for other work, and counsel’s experience produced an efficient resolution and a notice and claims process that reached 96.6 percent of the class and generated an 8.53 percent claims rate. (*Id.* at ¶¶ 12-14; see *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132; *Serrano v. Priest* (1977) 20 Cal.3d 25, 49.) The fee is also paid by Defendant separately from, and does not reduce, the benefits available to the class, and the class notice disclosed the amount requested. (Admin. Decl., Ex. A.) The Court approves an attorney fee award in the requested amount of \$95,000.

Class counsel requests reimbursement of litigation costs in the amount of \$5,000. Counsel actually incurred \$7,386.05 in costs for mediation fees (\$3,850), filing fees (\$2,951.05), pro hac vice fees (\$500), and service fees (\$85), but the Agreement caps reimbursement at \$5,000. (Miller Fee Decl., ¶¶ 16-17.) These costs are of the type routinely reimbursed, and the Court approves reimbursement in the requested amount. Settlement administration costs incurred to date total \$11,508.86 and are likewise approved, to be paid pursuant to the terms of the Agreement. (Admin. Decl., ¶ 21.)

#### **IV. Conclusion**

The Court GRANTS the motion for final approval of the settlement, finally certifies the settlement class, and confirms the appointment of Plaintiff as class representative and Strauss Borrelli PLLC as class counsel. The Court GRANTS the motion for attorney fees, costs, and a service award, and awards \$95,000 in attorney fees, \$5,000 in litigation costs, and a \$3,000 service award to Plaintiff.

The Court sets a compliance hearing for April 14, 2027 at 1:30 p.m. in Department 19. At least 10 court days before the hearing, class counsel shall file a declaration from the settlement administrator reporting on the distribution of settlement benefits, including the number and amount of payments issued and cashed, the number of credit monitoring codes issued and activated, and the disposition of any uncashed funds.

Plaintiff shall prepare the order.

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## **Calendar Line 23**

Case Name:

Case No.:

**- oo0oo -**

## Calendar Line 24

Case Name: *Isabella LaTour*  
Case No.: 25CV480101

This is a putative class and representative action arising from alleged wage and hour violations. Defendant SLT Lending SPV, Inc. d/b/a Sur La Table (“SLT”) moves to compel plaintiff Isabella Celestine La Tour (“Plaintiff”) to arbitrate her individual claims, to dismiss or strike the class claims, and to stay the non-individual claim under the Private Attorneys General Act (“PAGA”) pending arbitration. (Notice of Motion and Motion, p. 2:3–9.) For the reasons discussed below, the Court GRANTS the motion.

### I. Background

According to the operative First Amended Complaint (“FAC”), SLT employed Plaintiff as a non-exempt hourly employee in California. (FAC, ¶¶ 2, 4.) The FAC pleads nine causes of action: seven wage-and-hour claims under the Labor Code, a claim under the Unfair Competition Law, and a PAGA claim. Plaintiff also names “CSC Generation, an unknown business form,” as a defendant. SLT represents that no such entity exists, and CSC Generation has not appeared. (Memorandum of Points and Authorities (“MPA”), p. 7, fn. 1.) SLT brings this motion alone.

SLT presents evidence that Plaintiff electronically signed a “Mutual Arbitration Agreement” (the “Agreement”) during onboarding. (Declaration of Kim Tex (“Tex Decl.”), ¶¶ 5–11, Ex. 1–2; MPA, pp. 7:20–9:9.) SLT onboards new hires through the Paylocity platform. Paylocity sends the new hire two emails, one with SLT’s company code and the new hire’s username and the other with a password, and SLT cannot see or access the password. (Tex Decl., ¶¶ 5–6.) The Agreement is a standalone document and a separate step in the onboarding sequence. To complete the Agreement the new hire must consent to the use of electronic records and signatures, type her name in the first paragraph, either draw or type a signature, click “Sign” beneath a statement that the electronic signature carries the same effect as a pen-and-paper signature, and then print her name. (*Id.* at ¶¶ 6–9.) A new hire who clicks “Cancel” may return to the task later. (*Id.* at ¶¶ 7, 9.)

The Paylocity audit trail reflects that Plaintiff gave signer consent and opened the Agreement on October 25, 2024 at 17:44:29 UTC, completed the form at 17:46:36 UTC from the same IP address, and viewed the document again on November 3, 2024. (Tex Decl., ¶ 11, Ex. 2.) Plaintiff began work as a Seasonal Kitchen Assistant at SLT’s Palo Alto store on or about November 10, 2024, and her employment ended on January 13, 2025. (*Id.* at ¶ 4.)

The Agreement runs eight pages and is governed by the Federal Arbitration Act (“FAA”). (Agreement, ¶ 10.) It covers “all disputes, claims, and any other matters arising out of, or relating to,” Plaintiff’s employment or its termination, and it expressly lists “claims under the California Labor Code (including but not limited to claims for overtime, unpaid wages, and claims involving meal and rest breaks).” (*Id.* at ¶¶ 1, 3.) Arbitration is before JAMS under the JAMS Employment Arbitration Rules, within 50 miles of the employee’s place of employment, before a single arbitrator chosen by a strike-and-rank process from a JAMS list of retired judges or experienced attorneys. (*Id.* at ¶¶ 2(a), 8.) The arbitrator must issue a written decision, and SLT pays the arbitrator’s fees, the arbitration expenses, and all other costs unique to the arbitration hearing, except the initial JAMS filing fee. (*Id.* at ¶¶ 12, 15.) The Agreement contains a class and collective action waiver (¶ 5) and a severability clause (*Id.* at ¶ 18).

## **II. Legal Standard**

On a motion to compel arbitration, the moving party bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972; *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (*Pinnacle*).) The party opposing arbitration then bears the burden of proving any defense, including unconscionability. (*Pinnacle, supra*, 55 Cal.4th at p. 236.) The court treats an arbitration agreement as it would any other contract. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 583 [courts “should apply the same procedural rules that they apply to any other contract”].)

The moving party may meet its initial burden by attaching a copy of the purported agreement; if the signature is challenged, the moving party must authenticate it. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1059–1061;



*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218–219.) An electronic signature may not be denied legal effect solely because it is electronic, and it is attributable to a person if it was the act of that person, which may be shown by “the efficacy of any security procedure applied.” (Civ. Code, §§ 1633.7, subd. (a), 1633.9, subd. (a).)

### **III. Discussion**

#### **A. The FAA Governs, and the Court Decides Enforceability**

The Agreement provides that it “and any arbitration shall be governed by the Federal Arbitration Act (‘FAA’) to the exclusion of any state law inconsistent with the FAA.” (Agreement, ¶ 10.) SLT also submits unrebutted evidence that it operates 58 retail stores in 24 states along with a nationwide e-commerce business, transports goods across state lines, and annually purchases millions of dollars of goods. (Declaration of Josh Bryant, ¶¶ 3–4; MPA, pp. 10:19–11:3.) The FAA applies, and Plaintiff does not argue otherwise. The FAA does not displace generally applicable contract defenses such as unconscionability. (9 U.S.C. § 2.)

One preliminary matter warrants mention because neither side raises it. Paragraph 2(b) provides that “the Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any dispute relating to the interpretation, applicability, formation, or enforceability of this Agreement.” SLT does not rely on that clause. It briefed unconscionability on the merits and asked this Court to resolve it. (MPA, pp. 16:23–18:24; Reply, pp. 2:16–7:13.) A party may elect not to invoke a delegation clause, and SLT has done so here. The Court therefore reaches the enforceability questions.

#### **B. Existence of a Valid Agreement to Arbitrate**

SLT has met its initial burden. It produced the signed Agreement together with a declaration describing the security procedures that control access to Paylocity and an audit trail recording the date, time, and IP address of Plaintiff’s consent, opening, and completion of the document. (Tex Decl., ¶¶ 3–11, Ex. 1–2; MPA, pp. 12:6–13:16.) That showing satisfies Civil Code sections 1633.7 and 1633.9, and *Espejo*.

Plaintiff filed no declaration and nowhere does she deny that she signed the Agreement. Her opposition takes formation as given and disputes only enforceability. (Opposition, pp. 8:12–18:2.) The Court therefore finds that the parties formed a valid agreement to arbitrate.

### **C. Scope of the Agreement**

The Agreement reaches “all disputes, claims, and any other matters arising out of, or relating to,” Plaintiff’s employment, and it names California Labor Code claims for overtime, unpaid wages, and meal and rest breaks. (Agreement, ¶¶ 1, 3.) Every cause of action in the FAC arises out of the employment relationship, including the derivative Unfair Competition Law claim. Plaintiff’s individual PAGA claim, meaning her claim for civil penalties based on Labor Code violations she personally suffered, falls within that language and is arbitrable. (*Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662; *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123–1124 (*Adolph*); MPA, pp. 13:17–16:22.) Plaintiff does not contest scope.

### **D. Unconscionability**

Plaintiff argues that the Agreement is unenforceable because it is unconscionable. (Opposition, pp. 8:12–18:2.) Unconscionability has a procedural element and a substantive element. Both must be present, but they are weighed on a sliding scale: “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125–130.) Plaintiff bears the burden on both elements.

#### *1. Procedural Unconscionability*

Plaintiff’s showing here is modest. The Agreement was a standardized form presented as a mandatory condition of employment, so it is adhesive and some procedural unconscionability is present. (Opposition, pp. 9:6–14.) But adhesion alone is not enough. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1244 (*Baltazar*)). It becomes legally

significant only where there is surprise, or evidence of oppression or sharp practices. (*Id.* at p. 1245.) *Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, on which Plaintiff relies (Opposition, pp. 8:28–9:5), confirms that “[c]ourts have consistently held that the requirement to enter into an arbitration agreement is not a bar to its enforcement.” (*Id.* at p. 179; see Reply, pp. 2:26–3:11.) *Lona v. Citibank N.A.* (2011) 202 Cal.App.4th 89 is inapposite. It addressed triable issues on a consumer loan at summary judgment, not an arbitration agreement.

Apart from her adhesion argument, Plaintiff offers nothing to establish procedural unconscionability. She submitted no declaration, and the opposition does not address oppression or surprise at all. The record points the other way. The Agreement was a standalone, eight-page document in ordinary type and plain language, presented as its own onboarding step rather than buried in a prolix form. (*Pinnacle, supra*, 55 Cal.4th at p. 247; MPA, pp. 17:9–24.) The jury-trial and class-action waivers appear in bold capital letters in the first substantive paragraph and again in the last. (Agreement, ¶¶ 1, 19.) Plaintiff could review and print the document, could cancel and return to it later, and in fact revisited it on November 3, 2024. (Tex Decl., ¶¶ 7–9, 11, Ex. 2.) She signed on October 25, 2024, more than two weeks before her November 10 start date, so she was not handed the document amid any time pressure or other urgencies that could be attendant to a first day of work. The JAMS Rules were identified by name, with a web address and a telephone contact, and the discovery limitations she attacks appear in the text of the Agreement itself. (Agreement, ¶¶ 2(a), 9.) The degree of procedural unconscionability is low.

## 2. *Substantive Unconscionability*

Substantive unconscionability concerns terms that are “unreasonably favorable to the more powerful party” or so one-sided as to shock the conscience. (*Baltazar, supra*, 62 Cal.4th at p. 1244.) Plaintiff challenges five provisions. (Opposition, pp. 9:20–16:20.) Three of them appear to be unconscionable, and the other two are not.

### a. **The Offer-of-Judgment Fee-Shifting Provision (Paragraph 15)**

Plaintiff presents a strong argument here. Paragraph 15 provides that if “the Employer makes a settlement offer and/or an offer of judgment of any kind or amount whatsoever” and the employee rejects it and “subsequently recovers less than the amount of this Offer of Judgment,” then the employee “shall be responsible for paying any and all of the Employer’s fees and costs (specifically to include the Employer’s attorneys’ fees and costs).” (Opposition, pp. 9:20–11:16.)

Beginning with mutuality, the clause is triggered only by an offer the employer makes, and it imposes liability only on the employee. Nothing in the Agreement exposes SLT to a comparable risk. A fee provision that runs in one direction is substantively unconscionable on that ground alone. (*Armendariz, supra*, 24 Cal.4th at pp. 117–120; *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 799–801.)

The clause also saddles Plaintiff with an expense she would not face in court. An employer that imposes mandatory arbitration “cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court.” (*Armendariz, supra*, 24 Cal.4th at pp. 110–111.) A wage claimant who turns down a section 998 offer and recovers less does not thereby become liable for her employer’s attorney fees, because the Labor Code’s one-way fee provisions control over section 998. (*Chavez v. California Collision, LLC* (2024) 107 Cal.App.5th 298, 310.) The provision therefore creates a fee exposure that exists only in the arbitral forum, and it does so at the expense of fee rights Plaintiff holds by statute. (Lab. Code, §§ 226, subd. (e), 1194.)

If anything, the clause sweeps wider than section 998 itself. It attaches to an offer “of any kind or amount whatsoever,” without the procedural safeguards section 998 supplies, and it reaches fees incurred “in an arbitration proceeding or in any other proceeding related to or concerning the Employee’s Covered Claims.” A wage claimant who declines an informal settlement offer of any size thus risks paying her employer’s attorney fees. The deterrent effect on the vindication of non-waivable statutory rights is plain.

SLT does not defend the provision. Its reply reaches Paragraph 15 only in the severance discussion, and there it assumes unconscionability for the sake of argument. (Reply, pp. 7:15–19.)

### **b. The Discovery Limitations (Paragraph 9)**

These limitations fail as well. Adequate discovery is among the minimum requirements for arbitrating non-waivable statutory claims, because “[t]he denial of adequate discovery in arbitration proceedings leads to the de facto frustration of the employee’s statutory rights.” (*Armendariz, supra*, 24 Cal.4th at p. 104.) Paragraph 9 permits each side “only one interrogatory limited to the identification of potential witnesses,” “only fifteen (15) requests for production of documents,” and “a maximum of two (2) eight (8)-hour long depositions.” Those numbers are tighter than the ones condemned in *Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1326, 1332, which allowed 25 document requests alongside the same interrogatory restriction and the same two eight-hour depositions. (Opposition, pp. 14:9–15:2.)

Subdivision (d) compounds the problem by forbidding “broad or widespread collection, search, and production of documents, including electronically stored information,” absent “a showing of compelling need,” and it permits the arbitrator to condition production on the requesting party advancing the producing party’s costs. This is a wage and hour case. The timekeeping, scheduling, and payroll records that may demonstrate liability sit with the employer. Limits that might otherwise read as even-handed do not operate that way in this context. (*Kinney, supra*, 70 Cal.App.4th at p. 1332; *Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702, 716–717.)

Nor does the “compelling need” escape hatch save the provision. That showing is difficult to make precisely because the discovery needed to make it is off limits; a single witness-identification interrogatory will not surface the documents or witnesses that would justify the request. (*Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1059–1060; Opposition, pp. 15:3–17.) *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478 (*Ramirez*) cuts the other way on its facts: the provision approved there let the arbitrator order additional discovery without any heightened showing. (*Id.* at pp. 505–507.) SLT’s moving papers characterized ¶ 9 as providing “adequate discovery” (MPA, pp. 18:11–15), but

the reply does not answer Plaintiff's showing and treats the provision as severable instead. (Reply, pp. 7:15–19.)

### **c. The ECIIAA Carve-Out (Paragraph 4(c))**

The result is the same for this provision. The Agreement compels arbitration of essentially everything Plaintiff might bring, yet exempts “claims arising under the Employer’s Employee Confidential Information and Inventions Assignment Agreement.” (Agreement, ¶ 4(c).) The exemption is phrased neutrally, but claims of that kind run in one direction. Courts have repeatedly held that an employer’s reservation of a judicial forum for its own confidentiality and trade secret claims destroys mutuality. (*Armendariz*, *supra*, 24 Cal.4th at pp. 115–120; *O’Hare v. Municipal Resource Consultants* (2003) 107 Cal.App.4th 267, 274; *Samaniego v. Empire Today, LLC* (2012) 205 Cal.App.4th 1138, 1147; Opposition, pp. 12:22–13:28.)

An employer may keep a judicial remedy where “business realities” create a special need, but the justification must appear in the contract or be established factually. (*Armendariz*, *supra*, 24 Cal.4th at p. 117.) SLT offers neither. It does not address the carve-out on the merits and submits no evidence of business necessity.

The Agreement’s other exclusions are a different matter. Paragraph 4 also excludes workers’ compensation and unemployment benefits, administrative charges before the National Labor Relations Board and the Equal Employment Opportunity or state equivalents, sexual harassment and abuse claims that cannot be compelled by law, and non-arbitrable Sarbanes-Oxley Act and Dodd-Frank Act claims. Those either track existing legal requirements or benefit the employee, and they are not evidence of one-sidedness. Paragraph 2(d), which preserves provisional remedies, applies to both parties.

### **d. The Sanctions Provision (Paragraph 14)**

Plaintiff’s reading of this provision is not persuasive. She treats Paragraph 14 as shifting fees to an employee who unsuccessfully challenges enforceability. (Opposition, pp. 11:17–12:21.) The text says something narrower. It permits “the arbitrator” to order sanctions

for a party’s “failure . . . to comply with its obligations under this Agreement, with an order of the arbitrator, and/or with the JAMS Rules.” The provision operates inside the arbitration, it turns on conduct, it applies to both sides, and it says nothing about a motion to compel filed in this Court or about the party resisting arbitration. (Reply, pp. 6:5–14.)

*Ramirez* involved language of a different order. There, the provision stated that “the party that resisted arbitration will be required to pay to the other party all costs, fees and expenses that they incur in compelling arbitration.” (*Ramirez*, *supra*, 16 Cal.5th at p. 507.) Nothing comparable appears here. A sanctions power is also not an expense unique to arbitration, since this Court possesses similar authority. (Code Civ. Proc., §§ 2023.010, 2023.030, 2031.310, subd. (h); Reply, pp. 6:20–7:13.)

#### **e. The Confidentiality Provision (Paragraph 2(g))**

This one is a closer question, but the Court concludes against Plaintiff’s argument. Paragraph 2(g) requires that “the arbitration shall be conducted on a confidential basis and there shall be no disclosure of evidence or the award or Arbitrator’s decision beyond the arbitration proceeding.” Plaintiff’s authorities involved broader clauses or materially different settings. (*Haydon v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1284, 1290 [Elder Abuse Act case; clause barred disclosure of “the existence, content, or results of the arbitration”]; *Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1066 [“all aspects” of the arbitration]; *Ting v. AT&T* (9th Cir. 2003) 319 F.3d 1126, 1151–1152 [consumer services agreement reaching more than seven million Californians]; *Murrey v. Superior Court* (2023) 87 Cal.App.5th 1223, 1254–1255 [workplace sexual harassment]; Opposition, pp. 15:25–16:20.) A requirement that the proceeding itself remain confidential has been upheld. (*Woodside Homes of Cal., Inc. v. Superior Court* (2003) 107 Cal.App.4th 723, 732; Reply, pp. 4:2–13.) The clause tracks JAMS Rule 26, and Paragraph 13 leaves each party free to go to court to confirm, vacate, or enforce an award, so the result is not shielded from judicial review. (Reply, pp. 5:25–6:3.)

The Court reads Paragraph 2(g) according to its terms. It governs disclosure of evidence and of the award outside the arbitration. It does not prevent Plaintiff or her counsel

from investigating her claims informally, from interviewing percipient witnesses, or from taking discovery on the non-individual PAGA claim that remains in this Court. Read that way, the clause adds little to Plaintiff's showing.

### 3. Severance

A court may sever an unconscionable term if the unconscionability or illegality is collateral to the contract's main purpose, if severance can cure any defects, and if enforcing the arbitration agreement, on balance, serves the interests of justice. (Civ. Code, § 1670.5, subd. (a); *Armendariz*, *supra*, 24 Cal.4th at pp. 122–124; *Ramirez*, *supra*, 16 Cal.5th at pp. 514–518.) *Ramirez* rejected any mechanical rule tied to a count of defective terms: “[t]he court cannot refuse to enforce an agreement simply by finding that two or more collateral provisions are unconscionable as written and eschewing any further inquiry.” (*Id.* at p. 518.) The Agreement also contains an express severability clause. (Agreement, ¶ 18; Reply, pp. 7:20–22.)

The three defective terms are collateral. The Agreement's central purpose is the parties' mutual obligation to take employment disputes to a JAMS neutral, and none of these three provisions eliminates that obligation. The *Armendariz* protections remain in place: a neutral arbitrator selected by strike-and-rank (¶ 8), a written decision (¶ 12), the full range of relief otherwise available, with the limit on punitive damages itself qualified “except where expressly permitted by statute” (¶¶ 2(e), 10), payment by SLT of the arbitrator's fees and every cost unique to arbitration apart from the initial filing fee (¶ 15, first sentence), judicial review and enforcement (¶¶ 6, 13), and mutual coverage of claims (¶ 3).

Each defect can be cured by deletion. Paragraph 4(c) comes out whole. Subdivisions (a) through (d) of Paragraph 9 come out, leaving the first sentence of Paragraph 9 in place so that the JAMS Rules govern discovery and the arbitrator retains authority to set deadlines and resolve disputes. The offending portion of Paragraph 15, beginning “Moreover, in addition to, and not in lieu of,” comes out through the end of the paragraph, leaving the sentences that put the costs unique to arbitration on SLT and preserve statutory fee awards. Nothing must be added or rewritten. That distinguishes the cases in which unconscionability “cannot be cured by extirpating or limiting the offending provisions, but instead requires augmentation.”



(*Ramirez, supra*, 16 Cal.5th at p. 516.) Plaintiff’s contention that Paragraph 15 “would have to be entirely rewritten to apply it to both parties” (Opposition, p. 17:17–18) mistakes the remedy. The remedy is deletion, not reformation into a mutual clause.

That leaves the interests of justice, and Plaintiff’s concern there is a serious one. Severance can reward a drafter who loads an agreement with overreaching terms and risks nothing by doing so. (Opposition, pp. 16:21–17:27.) Several considerations cut the other way on this record. Procedural unconscionability is low, and on the sliding scale that calls for a correspondingly strong substantive showing. There is no evidence that SLT ever invoked any of the three provisions against Plaintiff or threatened to do so. Two of the five challenged terms are not unconscionable at all, which is difficult to square with arguing that a document drafted throughout is an instrument of overreach. The offending terms can be stricken without re-writing the Agreement. The remedy adopted here strikes the offending terms outright rather than trimming them, so SLT retains no residual benefit from having included them.

The Agreement is not permeated by unconscionability. The Court severs Paragraph 4(c), Paragraph 9(a) through (d), and the offer-of-judgment portion of Paragraph 15, and enforces the remainder.

#### **E. Class Claims**

The class and collective action waiver is enforceable, and Plaintiff does not separately contest it. (Agreement, ¶¶ 1, 5, 19; *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 348–352; *Epic Systems Corp. v. Lewis* (2018) 584 U.S. 497, 502; MPA, pp. 18:25–19:17.) The class allegations of the FAC are stricken. (Code Civ. Proc., § 436.)

#### **F. The PAGA Claim and the Stay**

Plaintiff’s PAGA cause of action divides. The individual component is arbitrable and is compelled. The non-individual, representative component is not compelled and remains before this Court. (*Viking River Cruises, Inc. v. Moriana, supra*, 596 U.S. at p. 662; *Adolph, supra*, 14 Cal.5th at pp. 1123–1124.) A wholesale pre-dispute waiver of representative PAGA claims would be unenforceable. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th

348, 384.) SLT does not ask the Court to enforce one, and the Court enforces none. If Paragraph 5(b) could be read to bar a representative PAGA action in court, it is unenforceable to that extent and severable under Paragraph 18.

The remaining question is a stay of proceedings in this Court, and whether it should issue. Code of Civil Procedure section 1281.4 provides that where the court has ordered arbitration of a controversy that is an issue involved in a pending action, the court “shall . . . stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate.” *Adolph* describes this as the appropriate course when a plaintiff’s individual PAGA claim goes to arbitration. (*Adolph*, supra, 14 Cal.5th at pp. 1123–1125.) *Leenay v. Superior Court* (2022) 81 Cal.App.5th 553, which Plaintiff cites, says the same thing: the court “must stay the action” where it has ordered arbitration, the arbitrable issue arises in the pending action, and the parties to the arbitration are also the parties to the action. (*Id.* at p. 559; Reply, pp. 9:6–10.) Each condition is satisfied. Plaintiff principally relies *Jarboe v. Hanlees Auto Group* (2020) 53 Cal.App.5th 539 (*Jarboe*). (Opposition, pp. 19:13–25.) *Jarboe* predates *Adolph* and involved non-signatory defendants whose claims could not be sent to arbitration.

Plaintiff’s preclusion argument rests on a misreading of the Agreement. (Opposition, pp. 20:11–19.) Paragraphs 2(c) and 5(e) withhold preclusive effect only from awards “deciding issues for similarly situated employees” or “determining an issue with a similarly situated employee.” Plaintiff’s own arbitration is a proceeding between the Parties. The arbitrator’s determination whether she suffered a Labor Code violation, and so whether she is an “aggrieved employee” with standing to prosecute the representative claim, will bind her here. (*Adolph*, supra, 14 Cal.5th at pp. 1123–1124.) That is the sequence a stay is meant to permit.

The Court has considered Plaintiff’s argument that the State’s law enforcement interest should not yield to a forum the employer selected. (Opposition, pp. 18:13–19:12.) The interest is a real one, but section 1281.4 contains no public interest exception, and *Adolph* contemplated this order of proceeding without suggesting that it disserves PAGA’s purposes. Plaintiff’s concern that evidence will go stale during a stay (Opposition, pp. 20:3–8) is speculative on this record and can be raised by noticed motion if circumstances change.

#### **IV. Conclusion**

For the reasons stated, the Court GRANTS SLT's motion as follows. Paragraph 4(c), subdivisions (a) through (d) of Paragraph 9, and the portion of Paragraph 15 beginning "Moreover, in addition to, and not in lieu of" through the end of that paragraph are severed from the Agreement as unconscionable and are unenforceable. Plaintiff's individual claims, including the individual component of the PAGA claim, are compelled to arbitration in accordance with the Agreement as so modified. The class allegations of the First Amended Complaint are stricken. The non-individual, representative PAGA claim is stayed, and the action is stayed, pending completion of the arbitration.

The case management conference scheduled for August 19, 2026 at 2:30 p.m. in Department 19 is VACATED. The Court sets a further case management conference for February 17, 2027 at 2:30 p.m. in Department 19.

Defendant shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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## **Calendar Line 12**

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